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S.E.C Registration Number

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(Company's full Name)

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(Business Address: No. Street City / Town / Province)

Atty. Evelyn S. Enriquez
Corporate Secretary

Contact Person

8724-44-41 to 53

Company Telephone Number

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Month Day Fiscal Year

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FORM TYPE

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Month _____ Day _____
Annual Meeting

3RD QUARTER REPORT

Secondary License Type, if Applicable

[illegible]

Dept. Requiring this Doc.

Amended Articles Number/Section

Total Amount of Borrowings

[illegible]

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC personnel concerned

[illegible]

File Number

[illegible]

LCU

[illegible]

Document I.D.

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Cashier

STAMPS

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SECURITIES AND EXCHANGE COMMISSION

FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2) (b) THEREUNDER

1. For the quarterly period ended September 30, 2025
2. Commission identification number: 108476
3. BIR Tax Identification No: 000-390-189-000
4. Exact name of registrant as specified in its charter:

PHILIPPINE SEVEN CORPORATION

5. Country of incorporation: **PHILIPPINES**
6. Industry Classification Code: (SEC Use Only)
7. Address of registrant's principal office: 7TH Floor, The Columbia Tower
Ortigas Avenue, Mandaluyong City
1550
8. Telephone number: (632) 8724-44-41 to 53
9. Former name, former address and former fiscal year, if changed since last report N/A
10. Securities registered pursuant to Section 8 and 12 of the Code, or Sections 4 and 8 of the
RSA

No. of Shares of Common Stock

Shares Outstanding - Common: 1,512,836, 566
Warrants: -0-

11. Are any or all of the securities listed on the Stock Exchange?

Yes [☒] No [☐]

Stock Exchange: *Class/es of Securities listed*

Philippine Stock Exchange - Common

12. Indicate by check mark whether the registrant:

- a. has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes [☒] No [☐]

b. Has been subject of such filing requirements for the past 90 days.

Yes [☒] No [☐]

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements.

Please refer to the attached.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Please refer to the attached

PART II - OTHER INFORMATION

N/A

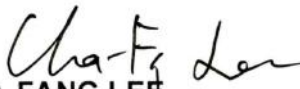
Pursuant to the requirement of the Securities Regulation Code, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Registrant: **PHILIPPINE SEVEN CORPORATION**



Signature and Title: **YING-JUNG LEE**
President

Date: November 07, 2025



Signature and Title: **CHIA-FANG LEE**
Treasurer and CFO

Date: November 07, 2025

November 07, 2025

SECURITIES AND EXCHANGE COMMISSION

SEC Building

EDSA, Quezon City

Gentlemen:

In connection with the financial statements of Philippine Seven Corporation as of September 30, 2025, which will be submitted to the Philippine Stock Exchange (PSE), we confirm to the best of our knowledge and belief, the following:

1. We are responsible for the fair presentation of the financial statements in conformity with the generally accepted accounting principles.
2. There have been no:
 - a. Irregularities involving management or employees who have significant roles in the system or internal accounting control.
 - b. Irregularities involving other employees that could have a material effect on financial statements.
 - c. Communication from regulatory agencies concerning non-compliance with or deficiencies in, financial reporting practices that could have a material effect on the financial statements.
3. There are no:
 - a. Violations or possible violations of laws or regulations whose effects should be considered for disclosure in the financial statements or as a basis for recording a loss contingency.
 - b. Other material liabilities or gain or loss contingencies that are required to be accrued or disclosed.
4. The accounting records underlying the financial statements accurately and fairly reflect the transactions of the company.
5. The company has satisfactory title to all owned assets, and there are no liens or encumbrances on such assets nor has any asset been pledged.
6. Provision has been made for any material loss to be sustained.
7. We have complied with all respects of contractual agreements that would have a material effect on the financial statements in the event of non-compliance.


CHIA-FANG LEE
Treasurer and CFO



PHILIPPINE SEVEN CORPORATION

7th Floor, The Columbia Tower, Ortigas Avenue, Mandaluyong City 1550 Philippines
Telephone Nos. (632) 724-44-41 to 53 / 705-52-00
www.7-eleven.com.ph

STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The management of Philippine Seven Corporation is responsible for all information and representations contained in the consolidated unaudited financial statements for the quarter ended September 30, 2025. The financial statements have been prepared in conformity with generally accepted accounting principles and reflect amounts that are based on the best estimates and informed judgment with an appropriate consideration to materiality.

In this regard, management maintains a system of accounting and reporting which provides for the necessary internal controls to ensure that transactions are properly authorized and recorded, assets are safeguarded against unauthorized use or disposition and liabilities are recognized.

YING-JUNG LEE
President

CHIA-FANG LEE
Treasurer and CFO

LAWRENCE M. DE LEON
Head
Finance & Accounting Services Division

Part 1 – FINANCIAL INFORMATION

Item 1. Financial Statements

The consolidated financial statements accompany this form 17-Q and the following is the table of contents.

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Item 2. Management's Discussion and Analysis of Results of Operations and Financial Condition

SELECTED FINANCIAL DATA

Financial Summary (Amount in million Pesos except EPS)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2025	2024	% Change	2025	2024	% Change
SYSTEMWIDE SALES	23,443.9	22,935.3	2.2%	71,909.5	68,840.3	4.5%
Statement of Income Data:						
Revenue from contracts with customers (1)	22,597.9	21,603.5	4.6%	69,136.9	64,914.1	6.5%
Cost of merchandise sales (2)	14,608.5	14,199.6	2.9%	45,152.3	43,226.5	4.5%
General and administrative expenses	6,936.0	6,248.1	11.0%	20,188.9	18,028.5	12.0%
Other income, net	19.1	85.7	-77.7%	47.4	142.5	-66.7%
Operating income	1,072.6	1,241.4	-13.6%	3,843.1	3,801.7	1.1%
Interest expense, net	272.6	157.7	72.8%	679.2	364.3	86.4%
Income before income tax	800.0	1,083.7	-26.2%	3,163.8	3,437.4	-8.0%
Net income	600.4	813.9	-26.2%	2,377.2	2,577.9	-7.8%
EPS	0.40	0.54	-26.2%	1.57	1.70	-7.8%
Cash Flow Data:						
Operating cash flow	(781.9)	2,686.0	-129.1%	1,549.8	9,022.8	-82.8%
Investing cash flow	(1,031.4)	(1,177.9)	-12.4%	(3,210.8)	(1,700.5)	88.8%
Financing cash flow	(2,262.0)	(723.8)	212.5%	(3,535.0)	(9,304.1)	-62.0%

Balance Sheet Data:	As of September 30, 2025	As of December 31, 2024	% Change
Total assets	39,823.6	43,282.3	-8.0%
Total liabilities	29,883.0	34,206.1	-12.6%
Total stockholders' equity	9,940.6	9,076.2	9.5%
(1) The accounts revenue from merchandise sales, franchise revenue and service income are aggregated to revenue from contracts with customers or operating revenue.			
(2) Marketing income and items of other income are included in the cost of merchandise sales.			
(3) Initial franchise fees are deferred and amortized over the term of agreement and a contract liability was recognized.			

OVERVIEW

Company Background and Store Network Expansion

We operate the largest convenience store network in the Philippines. In December 1982, we acquired from Southland Corporation (now 7-Eleven International, LLC) the exclusive license to operate the 7-Eleven system in the country.

Our first store opened in 1984 in Quezon City, during a time of economic difficulty, which resulted in modest initial growth. A shift in momentum came in 1993 when we ramped up expansion efforts, followed by a successful initial public offering (IPO) in 1998. In the year 2000, President Chain Store Corporation (PCSC) of Taiwan acquired a majority stake at management's invitation, enabling technology transfer from a more advanced market. PCSC further increased its shareholding from 52.0 percent to 56.9 percent, signaling continued confidence in the Company's earnings potential.

A more aggressive growth trajectory began in 2007, leveraging the franchise model and collaboration with business partners. This was supported by a robust logistics network allowing us to expand into the Visayas and Mindanao regions and secure a first-mover advantage in emerging markets. The number of 7-Eleven stores in these regions now account for 28.5 percent of the store base.

It took over 25 years from our first store to reach our 500th store milestone in 2010. Momentum accelerated, and by 2013, we surpassed the 1,000-store mark, followed by the 2,000th store opening in January 2017. We were on track to cross the 3,000-store mark by early 2020, with a goal of adding at least 1,000 new stores every three years. However, the pandemic required a reassessment of our market development plan, with greater focus placed on enhancing sales and profitability.

We ultimately reached our 3,000th store milestone in June 2021. In October 2024, we celebrated another achievement with the opening of our 4,000th 7-Eleven store located in Newport Circle, Pasay City—a milestone that coincided with the 40th anniversary of our first store's opening.

As of September 30, 2025, we operate 4,366 stores. Notably, openings outside Metro Manila accelerated in response to shifting consumer behavior and a more dynamic competitive landscape.

Our medium-term goal is to operate 5,000 stores before the end of 2026, driven by an improving business environment that will make our products more accessible and affordable to our target market.

At the current store count, 53 percent are corporate-owned, while 47 percent are franchise operated. Total new stores opened during the first nine months reached 276, against 40 store closures. The expansion pipeline remains robust, with over 200 stores under various stages of construction.

Location	January 1, 2025	Opening	Closure	September 30, 2025
Metro Manila	1,121	37	19	1,139
Luzon excluding Metro Manila	1,900	91	11	1,980
Visayas	622	80	6	696
Mindanao	487	68	4	551
Total 7-Eleven convenience stores	4,130	276	40	4,366

Product and Services Innovations

With the ongoing shift toward digital payments, we have established ourselves as a trusted and accessible provider of payment solutions. Our store network's proximity and efficient transaction processing have earned the trust of our customers, making 7-Eleven their preferred destination.

To strengthen our service offerings, we partnered with Pito AXM Platform, Inc., a wholly owned subsidiary of Seven Bank Ltd. of Japan. Through this collaboration, we introduced state-of-the-art cash recycler ATMs, enhancing both our operational capabilities and customer convenience.

These ATMs have been deployed in 3,765 stores, covering 86% of our network. We are working to extend this coverage further, with a focus on underserved communities, aligning both with financial inclusion goals and our strategy of strengthening our presence in key areas.

Our fast-growing payment services have become traffic generators. However, they have also introduced the operational challenge of managing rising in-store cash balances. The ATMs have enabled more efficient cash handling by allowing deposited funds to be reused for withdrawals.

We are transitioning from our legacy payment switch to a modern platform that delivers higher uptime and improved system availability for cash-in and bills payment services. This upgrade is expected to enhance service reliability, strengthen recurring revenues, and realize returns on the Company's two-year investment in system development.

Looking ahead, we are targeting the opening of up to 500 new stores annually, a trajectory supported by a more favorable economic outlook. Our strategic market development plan takes into account evolving consumer preferences for innovation, proximity, and convenience.

We are also encouraged by the growing market share of our ready-to-eat (RTE) products, which continues to be a key differentiator. This category is central to our strategy for creating a unique and compelling value proposition.

Through these initiatives, we remain committed to upholding the strength and heritage of the 7-Eleven brand. Known for convenience and reliability, our brand continues to resonate with customers. By staying true to these values, we preserve the loyalty we've built over the past four decades.

Our goal is to serve the daily needs of our customers while maintaining leadership in the convenience retail industry. We intend to achieve this by leveraging our scale, technology, human capital, and brand equity. Even amid rising competition, 7-Eleven continues to set the standard for modern convenience—making everyday life easier for millions of Filipinos.

FINANCIAL CONDITION AND RESULTS OF OPERATIONS DURING THIRD QUARTER 2025 AS COMPARED WITH THIRD QUARTER 2024

A. Results of Operations

For the Third Quarter

The Company's net income for the third quarter of 2025 declined by 26.2 percent to ₱600.4 million, from ₱813.9 million in the same period last year. The decrease was primarily attributed to a 3.9 percent drop in same-store sales, or sales generated by stores that have been operating for more than twelve months.

The decline was largely due to prolonged rainy and unfavorable weather conditions, which caused suspensions of work and classes in several areas and significantly curtailed store traffic. These conditions were seasonal in nature, and sales activity is expected to normalize with improving weather and the onset of peak shopping months in the fourth quarter.

The factors that weighed on sales in the previous two quarters were still felt during the period, although performance was favorably influenced by a low base from last year. The regulatory compliance issue involving a major vape brand has been resolved, although importation challenges have continued to limit a full recovery in sales.

Meanwhile, system downtime incidents with a key e-wallet partner have been significantly reduced following the Company's successful migration to a new payment switch in July. Importantly, PSC's revenue share from e-wallet cash-in services has remained intact, despite earlier concerns over a possible reduction.

In the third quarter of 2025, the Philippine economy expanded by a slower 4.0 percent, compared with 5.5 percent in the previous quarter. The deceleration was largely due to weaker public spending, following governance issues that constrained budget execution, as well as the series of natural calamities that disrupted consumption and overall economic activity.

Meanwhile, inflation eased to below 2.0 percent, mainly on account of lower rice prices. The reduction in inflationary pressure may have softened consumer downtrading behavior, which could explain the relatively modest impact on demand for the Company's food offerings.

System-wide sales during the quarter, which encompass sales and service income from all stores, rose by 2.2 percent to ₱23.44 billion. **Revenue from contracts with customers or operating revenue**, on the other hand, comprising merchandise sales, franchise revenue, and service income grew by 4.6 percent to ₱22.6 billion.

The wide gap between the growth rates of system-wide sales and operating revenue is mainly due to larger fluctuations in franchised stores' pass-through expenses, driven by timing differences in accounting. These are recorded under franchise revenue and have no impact on operating income.

Merchandise gross margin improved to 28.7 percent from 27.4 percent, while service income from owned stores decreased by 11.1 percent to ₱387.0 million. Franchise revenue rose 7.6 percent to ₱1.72 billion, driven in part by higher franchise related expenses billed by the Company.

On the cost side, operating expenses rose faster owing to network expansion cost and operational efficiency initiatives. Systems development costs attributed to merchandising and roll-out of a new payment system were incurred alongside increase in store operating expenses, such as electricity and outsourced services expenses.

Operating income in the third quarter decreased 13.6 percent to ₱1.07 billion, as net interest expense increased by ₱272.6 million or 72.8 percent primarily due to the increase in interest incurred from lease liabilities and reduction of interest income earned during the period by 68.0 percent.

In August 2025, the Company returned cash to shareholders amounting to ₱1.51 billion, equivalent to ₱1.00 per share or 40 percent of 2024 net income.

The following is the quarterly trend of changes in same-store sales, which measures the average sales per store per day of all stores operating for more than twelve months. In the third quarter, the Company posted a 3.9 percent decline in SSSG, which is lower compared with the previous quarter.

SSSG	Q1	Q2	Q3	Q4	FY
2025	-1.2%	-0.5%	-3.9%		
2024	8.7%	7.4%	2.7%	-2.3%	3.2%
2023	23.3%	11.1%	13.0%	9.5%	13.0%
2022	16.1%	39.2%	35.2%	26.6%	28.8%
2021	-20.1%	-5.1%	3.4%	8.5%	-4.6%
2020	+2.5%	-25.5%	-25.2%	-23.7%	-18.4%
2019	+6.8%	+13.0%	+10.1%	+10.1%	+10.3%

In the third quarter, the Philippine economy grew at a much slower pace of 4.0 percent from 5.5 percent the previous quarter, while headline inflation fell below 2.0 percent.

PSC ended the period with a nation-wide store count of 4,366 stores, up by 344 or 8.6 percent from the same period in 2024. Out of that number, 53 percent are company-owned, while 29 percent are located in the Visayas and Mindanao regions.

For the Nine-months Ended September 30

Net income for the first nine months of 2025 declined by 7.8 percent to ₱2.38 billion, from ₱2.58 billion in the same period last year. The decrease in earnings was primarily driven by a 2.1 percent contraction in same-store sales year-to-date, a reversal from the 5.8 percent growth recorded in the comparable period of 2024. Stores in Metro Manila incurred the sharpest decline of 3.9 percent, while stores in Mindanao is the only region that reported a positive 1.5 percent growth.

System-wide sales, representing the retail sales and service income of all corporate and franchise-operated 7-Eleven stores, increased by 4.5 percent to ₱71.91 billion. Operating revenue—which includes merchandise sales, franchise revenue, and service income from corporate stores, grew by 6.5 percent to ₱69.14 billion.

Revenue for the period was supported by an 8.6 percent increase in total store count to 4,366, which resulted in an 8.7 percent rise in store operating days. However, the average customer count per store per day for mature stores was 3.5 percent lower than last year, reflecting softer consumer traffic.

The merchandise gross margin improved to 27.9 percent from 26.6 percent, mainly due to stronger contributions from the non-alcoholic beverages, snack foods, and tobacco categories, which together accounted for around 40 percent of total sales. This improvement helped offset the decline in service income during the period.

Operating income edged up by 1.1 percent to ₱3.84 billion, while the operating margin slightly declined to 5.56 percent from 5.86 percent a year earlier. The modest growth in operating income was supported by higher gross margins, although this benefit was partially offset by increased operating expenses, which tempered overall profitability.

Sales and Service Income

	Three Months Ended September 30,				Nine Months Ended September 30,			
	2025	2024	Change		2025	2024	Change	
			Amount	%			Amount	%
Revenue from merchandise sales (1)	20,494.8	19,573.5	921.3	4.7%	62,635.5	58,912.3	3,723.2	6.3%
Cost of merchandise sales (2, 3 and 4)	14,608.4	14,199.7	408.8	2.9%	45,152.3	43,226.5	1,925.9	4.5%
Gross profit	5,886.3	5,373.8	512.4	9.5%	17,483.2	15,685.8	1,797.3	11.5%
Service income (4)	387.0	435.1	-48.1	-11.1%	1,216.4	1,277.0	-60.6	-4.7%
Service income as % of revenue from contracts with customers	1.7%	2.0%		-0.3%	1.8%	2.0%		-0.2%
<i>(Amount in million Pesos)</i>								
Notes:								
1. Revenue from merchandise sales represents sales of corporate stores plus merchandise sales to franchisees at cost. This also includes the retail sales of five (5) grocery branches totaling P547.0 million.								
2. Cost of merchandise sales is composed of the cost of goods sold at corporate stores plus the cost of merchandise sold to franchisees. The share of PSC in the GP of the franchisee is recognized under the franchise revenue account.								
3. The cost of goods sold of grocery branches is lodged under this account amounting to P520.7 million.								
4. Marketing income reduced cost of merchandise sales, while commission income is now termed service income.								

Total revenue from merchandise sales rose by 4.7 percent to ₱20.5 billion in the third quarter of 2025. The corresponding cost of merchandise sold increased by a slower 2.9 percent to ₱14.6 billion. For the nine months ended September, revenue from merchandise sales grew at a faster pace than the cost of sales, resulting in an improved gross margin of 27.9 percent, up from 26.6 percent in the same period last year.

Revenue from merchandise sales represents the retail sales of corporate stores plus sales to franchisees valued at cost. The five grocery branches contributed ₱547.0 million in merchandise sales year-to-date, which are likewise included under this account.

In comparison, system-wide sales encompass the total retail sales of all stores—both corporate and franchised—regardless of ownership. The Company does not consolidate the retail sales of franchisees since these are operated as separate legal entities from PSC. The sales of grocery branches, meanwhile, are excluded from system-wide sales.

The cost of merchandise sales corresponds to the cost of sales of corporate stores plus the cost of goods transferred to franchisees. As such, in the financial statements, sales to franchisees generate zero gross profit, since the recorded sales value matches the cost. Instead, PSC earns its share of gross profit from franchised stores through franchise revenue, which also includes the Company's share in the service income of franchisees based on the agreed gross profit split.

While service income—which pertains only to corporate store operations—declined during the period, the Company's overall gross profit margin (combining merchandise and service income relative to operating revenue) improved to 27.8 percent in the third quarter and 27.1 percent year-to-date. The margin improvement was driven mainly by better category performance in non-alcoholic beverages, snack foods, and tobacco.

Franchise Revenue and Other Income

	Three Months Ended September 30,				Nine Months Ended September 30,			
	2025	2024	Change		2025	2024	Change	
			Amount	%			Amount	%
Franchise revenue	1,716.1	1,594.9	121.2	7.6%	5,285.0	4,724.8	560.2	11.9%
Rental income	22.7	53.6	-30.9	-57.7%	48.3	114.4	-66.1	-57.8%
Other income (expense)	-3.5	32.1	-35.6	-110.9%	-0.8	28.1	-28.9	-102.8%
Total	1,735.3	1,680.6	54.6	3.3%	5,332.5	4,867.3	465.1	9.6%
As % of revenue from contracts with customers	7.7%	7.8%		-0.1%	7.7%	7.5%		0.2%
<i>(Amount in million Pesos)</i>								

The franchise revenue account is composed of three main items, namely, the share of the Company in the gross profit of the franchisees, operating expenses of the franchisees billed by PSC and the initial franchise fee received at the start of the franchise agreement.

Franchise revenue in the third quarter was at ₱1.72 billion, up by 7.6 percent and rose by 11.9 percent year-to-date to ₱5.29 billion. The share in gross profit of franchisees during the quarter inched up 1.9 percent to ₱1.29 billion. The franchise related expenses billed by PSC to franchisees, such as rent, utilities and supplies, rose 35.3 percent to ₱405.2 million.

The disproportionate movement in franchise pass through expenses was due to the timing of documents submission which is the basis of accounting for transactions. There is no impact to operating income as the corresponding expense matches revenue. Total franchised stores reached 2,044 from 1,918 with FC1 package as the majority.

The rent income in the third quarter went down to ₱22.7 million from ₱53.6 million. Rent income is recognized from stores operated by franchisees, under short-term leases, and will be reclassified to finance lease once contracts are renewed. A corresponding rent expense is also booked, hence, no impact to operating income under this accounting treatment.

At the start of 2021, PSC, in partnership with one of the leading ATM operators worldwide, Seven Bank of Japan, started with the deployment of cash-recycling ATMs in several stores in Metro Manila. There are 3,790 ATMs, covering 3,765 stores, activated nationwide by the end of September 30, 2025.

The ATMs provide innovative cash management solutions. It accepts deposits from sales proceeds. The cash is then “recycled” by the machine to fund the withdrawals of customers. The withdrawals from customers of partner banks are free of charge contributing to increased traffic. Although a major bank started to charge its customers with fees creating an adverse effect on transactions.

PSC gets its revenue share as it provides the location and cash for the ATMs. The ATMs are envisioned to be the gateway for all fintech products, in addition to creating more flexibility to cash management. The Company earns variable fees based on withdrawals and also incurs costs at a fixed amount. The ATM operations support fee is lodged separately as other expenses and the corresponding revenue share of the Company is then reported as other income.

General and Administrative Expenses

	Three Months Ended September 30,				Nine Months Ended September 30,			
	2025	2024	Change		2025	2024	Change	
	Amount		%		Amount		%	
Communication, light and water	1,249.8	1,062.1	187.7	17.7%	3,506.9	2,998.9	508.0	16.9%
Outside services	1,210.8	1,073.3	137.5	12.8%	3,600.0	3,159.1	440.9	14.0%
Personnel costs	768.0	750.7	17.3	2.3%	2,217.7	2,164.4	53.3	2.5%
Depreciation of property and equipment	712.3	628.5	83.7	13.3%	2,023.8	1,819.4	204.3	11.2%
Depreciation of right of use asset	593.4	579.7	13.7	2.4%	1,682.9	1,478.8	204.1	13.8%
Trucking services	417.8	393.9	23.9	6.1%	1,276.4	1,170.0	106.4	9.1%
Warehousing services	322.1	285.6	36.5	12.8%	955.9	806.7	149.2	18.5%
Repairs and maintenance	316.4	260.7	55.7	21.4%	879.1	737.4	141.7	19.2%
Rent	225.6	220.0	5.7	2.6%	830.3	785.7	44.7	5.7%
Royalties	233.7	228.6	5.1	2.2%	717.7	686.6	31.1	4.5%
Others	298.8	274.7	24.1	8.8%	826.2	739.7	86.5	11.7%
Supplies	249.0	184.7	64.3	34.8%	664.1	595.8	68.3	11.5%
Taxes and licenses	175.9	181.4	-5.6	-3.1%	503.0	484.0	18.9	3.9%
Advertising and promotion	162.3	124.2	38.1	30.7%	504.9	401.9	103.0	25.6%
Total	6,935.9	6,248.2	687.8	11.0%	20,188.9	18,028.5	2,160.5	12.0%
As % of revenue from contracts with customers	30.7%	28.9%		1.8%	29.2%	27.8%		1.4%
<i>(Amount in million Pesos)</i>								

General and administrative expenses—which include store operating and selling expenses as well as head office-related costs—increased by 11.0 percent in the third quarter. This growth in expenses was primarily driven by an 8.8 percent increase in total store operating months, a reflection of the Company’s continued network expansion.

As a percentage of revenue from contracts with customers, expenses for the third quarter rose to 30.7 percent, up from 28.9 percent in the same period last year.

As part of the aggressive store expansion strategy, certain cost pressures have emerged. These include a faster increase in utility costs, outsourced services, depreciation of equipment and right-of-use assets and advertising and promotions expenses.

Advertising and promotions expenses increased as the Company invested in initiatives to drive growth, supporting new product launches and strengthening the presence of existing offerings. These programs, which also benefit franchisees, are funded by PSC and partly offset by supplier subsidies, allowing for broader sales impact at a lower cost. 7-Eleven’s private brands, such as City Café and Crunch Time, launched engaging promotional campaigns—including the Blind Cups collectibles and a new celebrity endorser—to refresh its brand image and deepen customer engagement.

The top five expense items collectively accounted for approximately 76.0 percent of total general and administrative costs. A summary of these key components is provided below:

1. Communication, Light, and Water

Expenses under this category increased by 17.7 percent during the third quarter to ₱1.25 billion, owing to the increase in store months and 13.1 percent uptick in the cost of generating power. At the end of September, total utility costs went up at a similar pace of 16.9 percent to ₱3.51 billion.

2. Outside Services

This category covers staffing, security, IT, and marketing services. Outside services increased by 12.8 percent in the third quarter, reaching ₱1.21 billion from ₱1.07 billion last year. The rise was driven by the new wage order that took effect in July 2024, which raised staffing costs. Another round of minimum wage adjustments took effect in July 2025, increasing the daily wage in the NCR by ₱50.00, or 7.8%. Additional security personnel were also deployed to help curb inventory shrinkage.

The Company has discontinued its engagement with a third-party firm for on-shelf availability reporting, replacing it with an application that enables real-time in-stock monitoring, delivering both greater accuracy and lower operating costs.

Moreover, the Company migrated to a new payment switch designed to provide higher uptime for its service offerings. The resulting improvement in system reliability is expected to enhance customer experience and transaction volumes. Over time, the revenue stream should offset the upfront development costs previously incurred and shall lead to lower processing costs per transaction.

3. Personnel Costs

Personnel costs slightly inched up by only 2.3 percent and 2.5 percent during the quarter and year-to-date, respectively and aggregated to ₱768.0 million in Q3 and ₱2.22 billion as of September, as employee headcount at owned stores, offices, distribution centers and kitchen were stable.

Lower provisioning for incentives and bonuses were made as profitability achievement lags the set target. The impact of the new wage order to personnel costs is not as huge compared with outsourced services since wages are already above the prescribed minimum.

4. Depreciation and amortization

Depreciation of property and equipment rose during the quarter, increasing by 13.3 percent, and 11.2 percent YTD, as the pace of new store openings picked up. There were 99 new stores that opened during the quarter, bringing total new store additions to 276 at the end of September. Moreover, there are more than 200 stores in the opening pipeline and are lodged under construction-in-progress.

Meanwhile, depreciation of right-of-use (ROU) assets showed an increase of 13.8 YTD due to the continued acquisition of new locations and renewal of leases. ROU assets pertain to leased premises for corporate stores, while lease receivables are recorded for franchised stores, as majority of lease term is utilized by the franchisees, qualifying such as a finance lease arrangement.

It is important to note that starting 2019, PSC adopted Philippine Financial Reporting Standard (PFRS) 16, which mandates that lessees recognize nearly all leases on the balance sheet. This involves recognizing both a lease liability and a right-of-use asset at the start of the lease term. The adoption of PFRS 16 has no impact on cash flows, as it is a non-cash accounting adjustment.

5. Trucking and warehouse services

In the third quarter, expenses for trucking and warehouse services rose by 8.9 percent to and by 12.9 percent YTD, and amounted to ₱739.9 million in Q3 and ₱2.23 billion YTD. These services are essential to supporting the growing store base, including those stores located in island provinces.

The increase in cost was driven by the higher volume of outbound deliveries, corresponding to rising sales and store count, as well as the impact of higher labor cost and fuel prices. The cost impact was partially offset by vendor subsidies, which helped mitigate the effect of fuel price increases.

PSC currently operates 30 distribution centers, including a newly opened facility in Davao. Two additional warehouses are scheduled to open in the fourth quarter. These expansions will support the Company's continued growth into new territories and strengthen its first-mover advantage.

Interest Expense, net

Net interest expense for the third quarter rose by ₱114.9 million, or 72.9 percent, primarily due to higher interest incurred from lease liabilities and lower interest income from short-term investments during the period. For the first three quarters, net interest expense increased by ₱314.9 million, or 86.4 percent, driven by the same factors.

The increase in interest from lease liabilities does not affect cash flow, as it relates to the financing of right-of-use (ROU) assets recognized under lease contracts. As the Company continues its aggressive store expansion, more lease agreements are capitalized, resulting in higher ROU assets and lease liabilities. These corresponding interest expenses are non-cash in nature and are typically front-loaded, declining over the latter part of the lease term.

Meanwhile, interest income from short-term investments declined by 68.0 percent to ₱64.7 million, while interest expense on the logistics subsidiary's outstanding loans decreased to ₱5.4 million.

Net Income

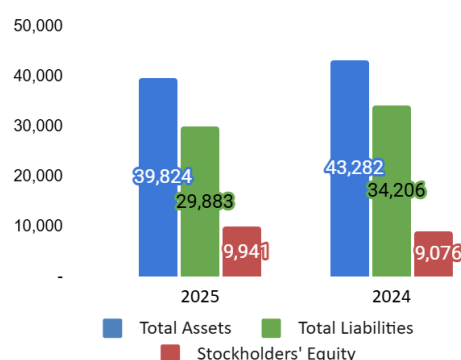
As sales remained soft in the third quarter, net income declined by 26.2 percent to ₱600.4 million from ₱813.9 million in the same period last year. For the first nine months, net income totaled ₱2.38 billion, down 7.8 percent year-on-year.

The entry of new players in Luzon has had minimal impact on 7-Eleven's core market. PSC remains focused on expansion, leveraging its first-mover advantage to capture growth opportunities in underserved regions.

The ready-to-eat (RTE) category continues to gain market share and serves as a key differentiator—strengthening customer loyalty and enhancing profitability. Supported by scale and a well-established supply chain, PSC is effectively raising barriers to entry in new markets and securing prime locations, driving incremental profit contributions from Visayas and Mindanao stores to the Company's overall performance.

B. Financial Condition

Balance Sheet Highlights	As of September 30, 2025	% Change (from 12/31/2024)
Total Assets	39,823.6	-8.0%
Current Assets	17,712.3	-24.7%
Non-current Assets	22,111.3	11.9%
Current Liabilities	17,471.3	-25.1%
Total Liabilities	29,883.0	-12.6%
Stockholders' Equity	9,940.6	9.5%
Book value per share	6.6	9.5%



The Company's financial position continued to strengthen, providing a solid foundation for its ongoing strategic initiatives. Liquidity improved, with the current ratio increasing to 1.01 as of end-September from 0.97 in the same period last year. Return on equity eased slightly to 25.0 percent from 25.19 percent, reflecting the modest growth in earnings.

Working Capital and Asset Movements

Total assets went down by 8.0 percent to ₱39.82 billion, mainly due to the 24.7 percent reduction in current assets as total cash level fell 46.9 percent. Cash went down because of the 7.8 percent decrease in income before tax and the timing effect of the disbursements intended in 2024 but was shifted to 2025 due to longer public holidays last year.

Receivables on the other hand, declined by 11.0 percent, primarily due to faster collections from suppliers. Lease receivables, however, continued to grow following the shift from operating leases to finance leases, as majority of the head lease terms are sub-leased to franchisees.

Inventories were unchanged compared with the opening balance and stood at ₱7.49 billion at the end of September. There was an uptick in days inventory outstanding (DIO) to 50.8 days but was fully covered by longer days payable outstanding (DPO) of 58.3 days.

Prepaid and other current assets fell by 17.0 percent from the opening balance, largely due to a 55.0 percent drop in advances for e-wallet prefunding. This decline was made possible by the adoption of a real-time settlement solution that enables fund transfers even during non-banking days. In addition, PSC successfully migrated from its legacy payment switch to a new platform designed to provide higher uptime and greater system availability.

Finally, net property and equipment increased by 12.6 percent, in line with the Company's continued expansion strategy. Right-of-use assets also rose steadily by 11.4 percent, reflecting both new site acquisitions and the renewal of existing leases.

Liabilities and Equity

Total liabilities declined by 12.6 percent to ₱29.88 billion, driven primarily by a 36.2 percent reduction in other current liabilities as of end-September, following the settlement of proceeds from services to merchant and e-wallet partners.

Movements in lease liabilities and contract liabilities remained within normal ranges and had no material effect on cash flows, as these largely represent accounting adjustments for financial reporting purposes. Lease liabilities also carry interest expense, reflecting the capitalization of lease contracts as right-of-use assets.

Stockholders' equity increased to ₱9.94 billion as of end-September 2025 from ₱9.08 billion at the beginning of the year, with the growth entirely attributable to net income generated during the first nine months.

On August 15, 2025, the Company declared and paid a ₱1.51 billion cash dividend to shareholders, underscoring its strong capacity to generate and return capital. This payout led to a corresponding decrease in both current assets and stockholders' equity.

C. Liquidity and Capital Resources

The net decrease in cash for the nine months ended September 30, 2025 widened to ₱5.20 billion from ₱1.98 billion in the same period in 2024. This was primarily due to lower operating cash flows resulting from the decline in profitability and the timing of disbursements originally intended for 2024 but executed in early 2025, following the extended public holidays at the end of the prior year. Additionally, in 2024, short-term investments amounting to ₱1.45 billion were redeemed to fund dividend payments, contributing to the year-on-year variance in cash movement.

Cash Flows from Operating Activities

Operating cash flow as of September 2025 remained lower compared to the same period in 2024, primarily due to the lingering timing effects of disbursements that were originally scheduled for execution at the end of last year. The estimated impact of these delayed payments is approximately ₱6.0 billion, which could have otherwise augmented operating cash flow for the period. In addition, the net decrease in current assets was smaller by ₱1.27 billion, further influencing overall cash flow performance.

Cash Flows from Investing Activities

Net cash used in investing activities totaled ₱3.21 billion as of end-September 2025, significantly higher than the ₱1.70 billion recorded in the same period last year, largely due to the impact of maturing short-term investments in 2024, which favorably affected investing cash flow in that period.

The bulk of investment outflows continued to support network expansion, particularly through additions to property and equipment and lease deposits linked to ongoing site acquisitions and new store openings. Capital expenditures reached ₱3.04 billion, slightly above the ₱3.02 billion spent last year, with 276 new stores opened as of September, compared to 279 in the same period of 2024.

Further enhancing its growth platform, the Company is set to bring two major distribution centers—located in the Visayas and Mindanao—into full operations by year-end. These facilities will bolster logistics capacity and underpin PSC’s aggressive expansion in key regional markets.

Cash Flows from Financing Activities

Net cash used in financing activities remained stable, with the primary outflow arising from lease liability payments totaling ₱2.08 billion. In addition, the Company’s logistics subsidiary secured ₱130.0 million in new bank borrowings and settled ₱70.0 million of existing loans to support the construction of additional distribution centers.

In August 2025, the Company returned cash to shareholders amounting to ₱1.51 billion, equivalent to ₱1.00 per share or 40 percent of 2024 net income. This followed the ₱7.26 billion special cash dividend and 100 percent stock dividend declared in 2024. The latter strengthened the Company’s capital base by increasing legal reserves through the capitalization of excess retained earnings.

Looking ahead, PSC aims to sustain shareholder value and plans to maintain a dividend payout ratio of at least 40 percent of the previous year’s net earnings.

Statement of Cash Flows Highlight (in million Pesos)	As of September 30,			
	2025	2024	Change	
			Value	%
Income before income tax	3,163.8	3,437.4	(273.5)	-8.0%
Depreciation and amortization	3,706.7	3,298.3	408.4	12.4%
Working capital changes	(5,320.7)	2,287.2	(7,607.9)	-332.6%
Net cash from operating activities	1,549.8	9,022.8	(7,473.0)	-82.8%
Additions to property and equipment	(3,039.8)	(3,016.6)	23.2	0.8%
Increase in other assets	(171.0)	1,316.2	(1,487.1)	-113.0%
Net cash used in investing activities	(3,210.8)	(1,700.5)	(1,510.3)	-88.8%
Net availment (repayment) of bank loan	60.0	(62.5)	122.5	196.0%
Interest paid	(5.2)	(12.6)	(7.5)	-59.2%
Payment of lease liabilities	(2,077.0)	(1,967.4)	109.7	5.6%
Cash dividends paid	(1,512.8)	(7,261.6)	(5,748.8)	-79.2%
Net cash used in financing activities	(3,535.0)	(9,304.1)	5,769.1	62.0%
Effect of exchange rate changes	(0.1)	9.8	(9.9)	-101.1%
Net increase (decrease) in cash	(5,196.1)	(1,981.8)	(3,214.3)	-162.2%
Cash and cash equivalent, beginning	11,086.5	10,557.2	529.3	5.0%
Cash and cash equivalent, ending	5,890.3	8,585.2	(2,694.9)	-31.4%
<i>(Amount in million Pesos)</i>				

Discussion of the Company's 2025 Key Performance Indicators

- **Same Store Sales Growth (SSSG)**

SSSG measures the average daily sales and service income of stores that have been in operation for more than twelve months. This metric provides insight into the performance of mature stores, irrespective of ownership structure.

- **System Wide Sales**

System-wide sales reflect the total retail sales generated across the entire network. This metric captures the value of sales made to all end customers

- **Net Income Margin**

Net income margin indicates profitability from continuing operations, expressed as a percentage of total revenue. It is calculated by dividing net income by revenue from contracts. This metric demonstrates how efficiently the Company converts revenue into profit.

- **EBIT Margin**

The EBIT margin is derived by dividing earnings before interest and taxes (EBIT) by revenue from contracts with customers. This ratio assesses the Company's operating profitability, excluding the effects of financing costs and lease-related interest expenses.

- **Return on Equity (ROE)**

Return on Equity (ROE) evaluates the ability to generate profits from shareholders' equity. It is calculated by dividing net income by the average shareholders' equity. ROE includes retained earnings and highlights how effectively capital is being utilized to generate growth.

Financial Highlights (Amount in Php millions except store count)	Three Months Ended September 30,			Nine Months Ended September 30,		
	2025	2024	% Change	2025	2024	% Change
Store count	4,366	3,926	11.2	4,366	3,926	11.2
System-wide sales	23,443.9	22,935.3	2.2	71,909.5	68,840.3	4.5
Revenue from contracts with customers *	22,597.9	21,603.5	4.6	69,136.9	64,914.1	6.5
Operating income	1,072.6	1,241.4	-13.6	3,843.1	3,801.7	1.1
EBITDA	2,378.2	2,449.7	-2.9	7,549.7	7,099.9	6.3
Net income	600.4	813.8	-26.2	2,377.2	2,577.9	-7.8
EBIT % *	4.75%	5.75%		5.56%	5.86%	
EBITDA % *	10.52%	11.34%		10.92%	10.94%	
Net margin *	2.66%	3.77%		3.44%	3.97%	

*% of Revenue from contracts with customers. PFRS 15, revenue from contracts with customers aggregated the three main revenue streams of the Company, namely, revenue from merchandise sales, franchise revenue and service income. Marketing and other income, on the other hand, reduced cost of sales.

- SSSG was at -3.9 percent in Q3, sharper than the 0.5 percent contraction in Q2 and a reversal from the +2.7 percent growth reported in Q3 2024.
- Systemwide sales jumped 2.2 percent in Q3 2025, driven by more operating stores, as measured by store months, which was up 8.8 percent vs Q3 2024.
- At the end of the third quarter, 7-Eleven stores in the Philippines totaled 4,366, up by 344 stores or 8.6 percent from the same period in 2024.
- Operating margin stood at 4.75 percent in Q3, and 5.56 percent YTD.
- Net margin in Q3 went down to 2.66 percent from 3.77 percent in 2024. At the end of September, net margin dropped to 3.44 percent from 3.97 percent owing to higher net interest expenses.

Financial Soundness Indicator

Indicator	Formula	Nine Months Ended September 30,	
		2025	2024
Liquidity Ratio			
Current ratio	Current Assets/Current Liabilities	1.01	0.97
Quick ratio	Cash + Receivables/Current Liabilities	0.51	0.60
Financial Leverage			
Debt ratio	Total Debt/Total Assets	0.75	0.78
Debt to equity ratio	Total Debt/Total Equity	3.01	3.62
Interest coverage	EBIT/Interest charges	5.66	10.43
Asset to equity ratio	Total Assets/Total Equity	4.01	4.62
Profitability Ratio			
Operating margin	Operating income/Revenue from contracts with customers	5.56%	5.86%
Net profit margin	Net income/Revenue from contracts with customers	3.44%	3.97%
Return on assets	Net income/Total Assets	5.72%	6.78%
Return on equity	Net profit Margin x Asset turnover x Asset to equity	25.00%	25.19%

Discussion and Analysis of Material Events and Uncertainties

1. There are no known trends, events and uncertainties that will have a material impact on liquidity after the balance sheet date.
2. There are no material off-balance sheet transactions, arrangements and obligations of the Company with unconsolidated entities during the reporting period.
3. All of the Company's income was earned in the ordinary course of business.
4. The Company's financial risk management objectives and policies are discussed in Note 28 of the September 30, 2025 Notes to Consolidated Financial Statements.
5. There are no other known trends, events and uncertainties that will have a material impact on the Company's liquidity.

SIGNATURE

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Registrant: **PHILIPPINE SEVEN CORPORATION**



YING-JUNG LEE
President

Date: November 07, 2025



CHIA-FANG LEE
Treasurer and CFO

Date: November 07, 2025



LAWRENCE M. DE LEON
Head
Finance & Accounting Services Division

Date: November 07, 2025

Philippine Seven Corporation and Subsidiaries

Unaudited Consolidated Financial Statements
As at September 30, 2025, and December 31, 2024 (Audited)
and for the Quarters Ended September 30, 2025, and 2024

COVER SHEET

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SEC Registration Number

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(Company's Full Name)

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(Business Address: No. StreetCity/Town/Province)

Katrina Lee

(Contact Person)

705-5200

(Company Telephone Number)

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Month Day
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Month Day
(Annual Meeting)

Not Applicable

(Secondary License Type, If Applicable)

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Dept. Requiring this Doc.

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Amended Articles Number/Section

588

Total No. of Stockholders

Total Amount of Borrowings	
P130M	-
Domestic	Foreign

To be accomplished by SEC Personnel concerned

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PHILIPPINE SEVEN CORPORATION AND SUBSIDIARIES
INTERIM CONSOLIDATED BALANCE SHEETS

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 4, 28 and 29)	P5,890,292,553	P11,086,451,448
Receivables (Notes 5, 24, 28 and 29)	3,042,961,822	3,419,850,356
Inventories (Note 6)	7,491,720,966	7,461,092,436
Prepayments and other current assets (Notes 7, 28 and 29)	1,287,304,464	1,551,201,382
Total Current Assets	17,712,279,805	23,518,595,622
Noncurrent Assets		
Property and equipment (Note 8)	9,049,575,665	8,033,528,479
Right-of-use asset (Notes 2 and 26)	10,058,760,374	9,031,384,126
Deposits (Notes 9, 28 and 29)	1,198,967,240	1,094,695,917
Goodwill and other noncurrent assets (Notes 10 and 29)	114,828,711	104,371,949
Receivables-net of current portion (Notes 5, 29 and 30)	280,990,624	204,065,762
Deferred income tax assets – net (Notes 2 and 26)	1,408,181,142	1,295,638,058
Total Noncurrent Assets	22,111,303,756	19,763,684,291
TOTAL ASSETS	P39,823,583,561	P43,282,279,913
LIABILITIES AND EQUITY		
Current Liabilities		
Bank loans (Notes 11, 28 and 29)	P130,000,000	P70,000,000
Current portion of long-term debt (Notes 11, 28 and 29)	–	–
Accounts payable and accrued expenses (Notes 12, 28 and 29)	8,767,180,585	11,488,572,340
Lease liabilities – current (Note 25)	2,400,667,242	2,369,094,655
Current portion of contract liabilities (Note 13)	719,304,925	693,951,306
Income tax payable	133,796,284	367,174,753
Other current liabilities (Notes 14, 24, and 29)	5,320,365,641	8,339,924,512
Total Current Liabilities	17,471,314,677	23,328,717,566
Noncurrent Liabilities		
Lease liabilities - net of current portion (Note 25)	10,940,195,110	9,582,341,088
Deposits payable (Note 15)	378,318,057	344,515,634
Contract liabilities – net of current portion (Note 13)	422,328,263	354,625,920
Net retirement obligations (Note 23)	644,753,637	563,024,800
Deferred revenue (Note 31)	20,081,223	26,837,249
Cumulative redeemable preferred shares (Note 16, 28 and 29)	6,000,000	6,000,000
Total Noncurrent Liabilities	12,411,676,290	10,877,344,691
Total Liabilities	P29,882,990,967	34,206,062,257

(Forward)

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Equity		
Common stock (Note 17)	₱1,513,522,816	₱1,513,522,816
Additional paid-in capital	293,525,037	293,525,037
Retained earnings (Note 17)		
Appropriated	3,650,000,000	5,650,000,000
Unappropriated	4,518,454,457	1,654,079,519
Other comprehensive income (loss)		
Remeasurement income (loss) on net retirement obligations - net of tax (Note 23)	(31,986,470)	(31,986,470)
	9,943,515,840	9,079,140,902
Cost of own shares held in treasury (Note 17)	(2,923,246)	(2,923,246)
Total Equity	9,940,592,594	9,076,217,656
TOTAL LIABILITIES AND EQUITY	₱39,823,583,561	₱43,282,279,913

PHILIPPINE SEVEN CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(UNAUDITED)

	Three Months Ended September 30	
	2025	2024
INCOME		
Revenue from contracts with customers (Note 13)	₱22,597,916,085	₱21,603,490,749
Rental income (Note 25)	22,610,586	53,607,591
Interest income (Note 21)	23,291,900	119,607,297
Other income (Notes 25 and 31)	206,112,327	232,506,366
	22,849,930,898	22,009,212,003
EXPENSES		
Cost of merchandise sales (Notes 6 and 18)	14,608,479,953	14,199,648,830
General and administrative expenses (Note 19)	6,935,957,436	6,248,098,901
Interest expense (Note 20)	295,880,307	277,317,300
Other expenses	209,637,355	200,443,303
	22,049,955,051	20,925,508,334
INCOME (LOSS) BEFORE INCOME TAX	799,975,847	1,083,703,669
PROVISION FOR (BENEFIT FROM) INCOME TAX (Note 26)	199,592,616	269,832,356
NET INCOME (LOSS)	600,383,231	813,871,313
OTHER COMPREHENSIVE INCOME	—	—
TOTAL COMPREHENSIVE INCOME	₱600,383,231	₱813,871,313
BASIC/DILUTED EARNINGS (LOSS) PER SHARE (Note 27)	₱0.40	₱0.54

PHILIPPINE SEVEN CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(UNAUDITED)

	Nine Months Ended September 30	
	2025	2024
INCOME		
Revenue from contracts with customers (Note 13)	₱69,136,885,932	₱64,914,103,743
Rental income (Note 25)	48,252,819	114,394,152
Interest income (Note 21)	105,035,127	372,790,711
Other income (Notes 25 and 31)	631,819,394	601,658,874
	69,921,993,272	66,002,947,480
EXPENSES		
Cost of merchandise sales (Notes 6 and 18)	45,152,342,125	43,226,452,950
General and administrative expenses (Note 19)	20,188,917,422	18,028,466,137
Interest expense (Note 20)	784,268,602	737,110,593
Other expenses	632,629,162	573,563,560
	66,758,157,311	62,565,593,240
INCOME (LOSS) BEFORE INCOME TAX	3,163,835,961	3,437,354,240
PROVISION FOR (BENEFIT FROM) INCOME TAX (Note 26)	786,624,457	859,413,281
NET INCOME (LOSS)	2,377,211,504	2,577,940,959
OTHER COMPREHENSIVE INCOME	—	—
TOTAL COMPREHENSIVE INCOME	₱2,377,211,504	₱2,577,940,959
BASIC/DILUTED EARNINGS (LOSS) PER SHARE (Note 27)	₱1.57	₱1.70

PHILIPPINE SEVEN CORPORATION AND SUBSIDIARIES

INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY FOR THE SIX MONTHS ENDED SEPTEMBER 30, 2025, AND 2024(UNAUDITED)

Nine Months Ended September 30, 2025							
				Other Comprehensive Income (Loss)			
				Remeasurement Loss on Net Retirement Obligations - Net of Tax	Total	Treasury Stock (Note 17)	Total
	Common Stock (Note 17)	Additional Paid-in Capital	Retained Earnings (Note 17)				
At January 1, 2025	₱1,513,522,816	₱293,525,037	₱7,304,079,519	(₱31,986,470)	9,079,140,902	(₱2,923,246)	₱12,575,631,265
Net income for the period	—	—	2,377,211,504	—	2,377,211,504	—	2,377,211,504
Other comprehensive income	—	—	—	—	—	—	—
Total comprehensive income	—	—	2,377,211,504	—	2,377,211,504	—	2,377,211,504
Stock dividends (Note 17)	—	—	—	—	—	—	—
Cash dividends (Note 17)	—	—	—	—	(1,512,836,566)	—	(1,512,836,566)
Balances at September 30, 2025	₱1,513,522,816	₱293,525,037	₱8,168,454,457	(₱31,986,470)	₱9,943,515,840	(₱2,923,246)	₱9,940,592,594

Nine Months Ended September 30, 2024							
				Other Comprehensive Income (Loss)			
				Remeasurement Loss on Net Retirement Obligations - Net of Tax	Total	Treasury Stock (Note 17)	Total
	Common Stock (Note 17)	Additional Paid-in Capital	Retained Earnings (Note 17)				
At January 1, 2024	₱757,104,533	₱293,525,037	₱11,510,954,854	₱16,970,087	12,578,554,511	(₱2,923,246)	₱12,575,631,265
Net income during the Quarter	—	—	2,577,940,959	—	2,577,940,959	—	2,577,940,959
Other comprehensive income	—	—	—	—	—	—	—
Total comprehensive income	—	—	2,577,940,959	—	2,577,940,959	—	2,577,940,959
Stock dividends (Note 17)	—	—	(756,418,283)	—	(756,418,283)	—	(756,418,283)
Cash dividends (Note 17)	—	—	(7,261,615,517)	—	(7,261,615,517)	—	(7,261,615,517)
Balances at September 30, 2024	₱757,104,533	₱293,525,037	₱6,070,862,014	₱16,970,087	₱7,894,879,954	(₱2,923,246)	₱7,891,956,708

PHILIPPINE SEVEN CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS (UNAUDITED)

	Three Months Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱799,975,847	₱1,083,703,669
Adjustments for:		
Depreciation and amortization (Notes 2, 8, 19 and 26)	1,305,684,783	1,208,311,955
Net retirement benefits cost	30,018,483	23,131,245
Interest expense (Note 2, 21 and 26)	295,880,307	277,317,300
Interest income (Note 22)	(23,291,900)	(119,607,297)
Unrealized foreign exchange loss (gain)	(238,048)	648,463
Operating income before working capital changes	2,408,029,472	2,473,505,335
Decrease (Increase) in:		
Receivables	(380,513,409)	734,238,677
Inventories	1,138,423,503	220,839,010
Prepayments and other current assets	59,190,929	250,469,813
Increase (decrease) in:		
Accounts payable and accrued expenses	(2,943,229,359)	(1,046,539,549)
Other current liabilities	(589,987,761)	464,088,690
Contract liabilities	3,554,857	(52,131,610)
Deposits payable	2,302,003	3,283,825
Retirement benefits contributions	—	—
Cash generated from operations	(302,229,765)	3,047,754,191
Income taxes paid	(492,292,559)	(481,272,241)
Interest received	12,602,300	119,539,571
Net cash from operating activities	(781,920,024)	2,686,021,521
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to property and equipment (Note 8)	(1,068,828,363)	(1,063,250,039)
Decrease (Increase) in:		
Deposits	(36,305,529)	(62,185,367)
Goodwill and other noncurrent assets	73,755,459	(52,511,493)
Short-term investments	—	—
Net cash from (used in) investing activities	(1,031,378,433)	(1,177,946,899)
CASH FLOWS FROM FINANCING ACTIVITIES		
Availments of:		
Bank Loans (Note 11)	60,000,000	—
Payments of:		
Bank Loans (Note 11)	(70,000,000)	—
Long – term debt (Note 11)	—	—
Leases (Notes 2 and 26)	(737,002,436)	(720,160,334)
Cash dividends paid (Note 17)	(1,512,836,566)	—
Interest paid (Notes 2 and 26)	(2,163,195)	(3,655,862)
Net cash used in financing activities	(2,262,002,197)	(723,816,196)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	238,048	(648,463)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(4,075,300,654)	784,258,426
CASH AND CASHEQUIVALENTS AT BEGINNING OF QUARTER	9,965,355,159	7,801,578,426
CASH AND CASH EQUIVALENTS AT END OF QUARTER	₱5,890,292,553	₱8,585,188,389

PHILIPPINE SEVEN CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS (UNAUDITED)

	Nine Months Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱3,163,835,961	₱3,437,354,240
Adjustments for:		
Depreciation and amortization (Notes 2, 8, 19 and 26)	3,706,672,790	3,298,270,364
Net retirement benefits cost	91,728,837	69,393,736
Interest expense (Note 2, 21 and 26)	784,268,602	737,110,593
Interest income (Note 22)	(105,035,127)	(372,790,711)
Unrealized foreign exchange loss (gain)	107,799	(9,810,258)
Operating income before working capital changes	7,641,578,862	7,159,527,964
Decrease (Increase) in:		
Receivables	522,788,267	763,209,706
Inventories	(30,628,530)	664,350,373
Prepayments and other current assets	147,236,660	480,663,250
Increase (decrease) in:		
Accounts payable and accrued expenses	(2,721,920,793)	(530,640,216)
Other current liabilities	(3,019,558,871)	1,074,212,884
Contract liabilities	63,165,467	104,877,307
Deposits payable	24,983,551	7,971,233
Retirement benefits contributions	(10,000,000)	(10,000,000)
Cash generated from operations	2,617,644,613	9,714,172,502
Income taxes paid	(1,132,546,010)	(1,064,047,291)
Interest received	64,668,719	372,669,777
Net cash from operating activities	1,549,767,322	9,022,794,988
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to property and equipment (Note 8)	(3,039,810,330)	(3,016,628,484)
Decrease (Increase) in:		
Deposits	(83,601,860)	(117,262,608)
Goodwill and other noncurrent assets	(87,381,624)	(15,173,533)
Short-term investments	—	1,448,591,499
Net cash used in investing activities	(3,210,793,814)	(1,700,473,126)
CASH FLOWS FROM FINANCING ACTIVITIES		
Availments of:		
Bank Loans (Note 11)	130,000,000	—
Payments of:		
Bank Loans (Note 11)	(70,000,000)	—
Long – term debt (Note 11)	—	(62,500,000)
Leases (Notes 2 and 26)	(2,077,034,192)	(1,967,374,450)
Cash dividends paid (Note 17)	(1,512,836,566)	(7,261,615,517)
Interest paid (Notes 2 and 26)	(5,153,846)	(12,620,727)
Net cash used in financing activities	(3,535,024,604)	(9,304,110,694)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	(107,799)	9,810,258
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(5,196,051,097)	(1,981,788,832)
CASH AND CASHEQUIVALENTS AT BEGINNING OF YEAR	11,086,451,448	10,557,166,963
CASH AND CASH EQUIVALENTS AT END OF QUARTER	₱5,890,292,553	₱8,585,188,389

PHILIPPINE SEVEN CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information and Authorization for Issuance of the Consolidated Financial Statements

Corporate Information

Philippine Seven Corporation (the Company or PSC) was incorporated in the Philippines and registered with the Philippine Securities and Exchange Commission (SEC) on November 24, 1982. The Company and its subsidiaries (collectively referred to as the "Group"), are primarily engaged in the business of retailing, merchandising, buying, selling, marketing, importing, exporting, franchising, acquiring, holding, distributing, warehousing, trading, exchanging or otherwise dealing in all kinds of grocery items, dry goods, food or foodstuff, beverages, drinks and all kinds of consumer needs or requirements and in connection therewith, operating or maintaining warehouses, storages, delivery vehicles and similar or incidental facilities. The Group is also engaged in the management, development, sale, exchange, and holding for investment or otherwise of real estate of all kinds, including buildings, houses and apartments and other structures.

The Company is controlled by President Chain Store (Labuan) Holdings, Ltd., an investment holding company incorporated in Malaysia, which owns 56% of the Company's outstanding shares. The remaining 44% of the shares are widely held. The ultimate parent of the Company is President Chain Store Corporation (PCSC), which is incorporated in Taiwan, Republic of China.

The Company has its primary listing on the Philippine Stock Exchange on February 4, 1998. As at September 30, 2025 and 2024, the Company has 588 and 585 equity holders, respectively.

The Company is registered as an Operator of Payment System since March 17, 2020, subject to the rules and regulations of the Bangko Sentral ng Pilipinas and the provisions of the Anti-Money Laundering Act of 2001, as amended and its implementing rules and regulations.

The registered business address of the Company is 7th Floor, The Columbia Tower, Ortigas Avenue, Mandaluyong City.

2. Material Account Policy Information and Financial Reporting Practices

Basis of Preparation

The consolidated financial statements are prepared under the historical cost basis. The consolidated financial statements are presented in Philippine Peso (Peso), which is the Group's functional currency, and all amounts are rounded to the nearest Peso except when otherwise indicated.

Statement of Compliance

The consolidated financial statements are prepared in compliance with Philippine Financial Reporting Standards (PFRS).

Changes in Accounting Policies

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2023. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.

- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.
- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*
The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.
- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*
The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Standards Issued but not yet Effective.

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Group does not expect that the future adoption of the said pronouncements will have a significant impact on its consolidated financial statements. The Group intends to adopt the following pronouncements when they become effective.

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

On December 15, 2021, the FSRSC amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the IASB.

PFRS 17 is effective for reporting periods beginning on or after January 1, 2025, with comparative figures required. Early application is permitted.

Adoption of this standard is not relevant and not expected to have a significant impact on the Group's consolidated financial statements.

- Amendments to PAS 21, *Lack of exchangeability*

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier adoption is permitted and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

Adoption of this amendment to the standard is not relevant and not expected to have a significant impact on the Group's consolidated financial statements.

Effective beginning on or after January 1, 2026

▪ Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*

The amendments clarify that a financial liability is derecognized on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. They also introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met.

The amendments also clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features. Furthermore, the amendments clarify the treatment of non-recourse assets and contractually linked instruments.

Adoption of this amendment to the standard is relevant, but not expected to have a significant impact on the Group's consolidated financial statements since there are no outstanding long-term loans as at December 31, 2024.

▪ Annual Improvements to PFRS Accounting Standards - Volume 11

The amendments are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversight or conflicts between the requirements in the Accounting Standards. The following is the summary of the Standards involved and their related amendments.

○ Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*

The amendments included in paragraphs B5 and B6 of PFRS 1 cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of PFRS 9. These are intended to address potential confusion arising from an inconsistency between the wording in PFRS 1 and the requirements for hedge accounting in PFRS 9.

○ Amendments to PFRS 7, *Gain or Loss on Derecognition*

The amendments updated the language of paragraph B38 of PFRS 7 on unobservable inputs and included a cross reference to paragraphs 72 and 73 of PFRS 13.

○ Amendments to PFRS 9

▪ Lessee Derecognition of Lease Liabilities

The amendments to paragraph 2.1 of PFRS 9 clarified that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee is required to apply paragraph 3.3.3 and recognize any resulting gain or loss in profit or loss.

▪ Transaction Price

The amendments to paragraph 5.1.3 of PFRS 9 replaced the reference to 'transaction price as defined by PFRS 15 *Revenue from Contracts with Customers*' with 'the amount determined by applying PFRS 15'. The term 'transaction price' in relation to PFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of PFRS 9.

○ Amendments to PFRS 10, *Determination of a 'De Facto Agent'*

The amendments to paragraph B74 of PFRS 10 clarified that the relationship described in B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor.

○ Amendments to PAS 7, *Cost Method*

The amendments to paragraph 37 of PAS 7 replaced the term 'cost method' with 'at cost', following the prior deletion of the definition of 'cost method'.

Only the adoption of the amendment to the *PFRS 9 (a) lessee derecognition of lease liability* is relevant and expected to have a significant impact on the Group's consolidated financial statements.

Effective beginning on or after January 1, 2027

- *PFRS 18, Presentation and Disclosure in Financial Statements*
The standard replaces PAS 1 Presentation of Financial Statements and responds to investors' demand for better information about companies' financial performance. The new requirements include:

- Required totals, subtotals and new categories in the statement of profit or loss
- Disclosure of management-defined performance measures
- Guidance on aggregation and disaggregation

Adoption of this standard is relevant and expected to have a significant impact on the Group's consolidated financial statements.

- *PFRS 19, Subsidiaries without Public Accountability*
The standard allows eligible entities to elect to apply PFRS 19's reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other PFRS accounting standards. The application of the standard is optional for eligible entities.

Adoption of this standard is not relevant and not expected to have a significant impact on the Group's consolidated financial statements.

Deferred effectivity

- *Amendments to PFRS 10, Consolidated Financial Statements, and PAS 28, Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial and Sustainability Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the IASB completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

Adoption of this standard is not relevant and not expected to have a significant impact on the Group's consolidated financial statements.

Basis of Consolidation

The consolidated financial statements include the accounts of the Company and the following wholly owned subsidiaries:

	Country of Incorporation	Principal Activity	Percentage of Ownership
		Warehousing and	
Convenience Distribution, Inc. (CDI)	Philippines	Distribution	100
Store Sites Holding, Inc. (SSH)	Philippines	Holding	100

SSH's capital stock, which is divided into 40% common shares and 60% preferred shares are owned by the Company and by Philippine Seven Corporation-Employees Retirement Plan

(PSC-ERP) through its trustee, Bank of the Philippines Islands-Asset Management and Trust Corporation (BPI-AMTC), respectively. These preferred shares which accrue and pay guaranteed preferred dividends and are redeemable at the option of the holder are recognized as a financial liability in accordance with PFRS (see Note 15). The Company owns 100% of SSHI's common shares, which, together with common key management, gives the Company control over SSHI.

The financial statements of the subsidiaries are prepared for the same financial reporting period as the Company, using uniform accounting policies. Intercompany transactions, balances and unrealized gains and losses are eliminated in full.

Financial Assets

Initial Recognition and Measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, FVOCI, and fair value through profit or loss (FVPL).

The classification at initial recognition depends on the contractual cash flow characteristics of financial assets and the Group's business model for managing them. The initial measurement of financial assets, except for those classified as FVPL, includes the transaction cost. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at FVPL, transaction costs. Trade receivables that do not contain significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under PFRS 15.

In order for a financial asset to be classified and measured at amortized cost or FVOCI, it needs to give rise to cash flows that are SPPI on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent Measurement

For purposes of subsequent measurement, financial assets are classified in four (4) categories:

- Financial assets at amortized cost (debt instruments);
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments);
- Financial assets at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments); and
- Financial assets at FVPL.

The Group measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

Financial assets at amortized cost are classified as current assets when the Group expects to realize the asset within 12 months from reporting date. Otherwise, these are classified as noncurrent assets.

The Group's financial assets at amortized cost consist of cash and cash equivalents, short-term investment, receivables and deposits (excluding non-refundable rent deposits) (see Notes 4, 5 and

9). The Group has no financial assets at FVOCI (debt instruments), financial assets designated at FVOCI (equity instruments) and financial assets at FVPL.

Impairment of Financial Assets

The Group recognizes an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognized in 2 stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group establishes a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Group considers a financial asset in default when contractual payments are 360 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Financial Liabilities

The Group's financial liabilities measured at amortized cost include bank loans, long-term debt, accounts payable and accrued expenses, lease liabilities, deposit payables and other current liabilities (excluding statutory liabilities), and cumulative redeemable preferred shares (see Notes 11, 12, 14, 15, 16, and 25).

Offsetting Financial Instruments

Financial assets and financial liabilities are offset, and the net amount is reported in the consolidated statements of financial position if there is a currently enforceable legal right to offset the recognized amounts and there is intention to settle on a net basis, or to realize the asset and settle the liability simultaneously.

The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Fair Value Measurement

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described, as follows, based on lowest level of input that is significant to the fair value measurement as a whole:

- Level 1 - quoted (unadjusted) prices in active markets for identical assets or liabilities.
- Level 2 - valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by reassessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs. All assets and liabilities for which fair value is measured and disclosed in the financial statements are categorized within the fair value hierarchy.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Fair value measurements disclosures are presented in Note 28 to the consolidated financial statements.

Inventories

Inventories are stated at the lower of cost and net realizable value (NRV). Cost of inventories is determined using the first-in, first-out method. NRV is the selling price in the ordinary course of business, less the estimated cost of marketing and distribution.

Property and Equipment

Property and equipment, except for land, are carried at cost less accumulated depreciation and amortization, and any impairment in value.

The initial cost of property and equipment consists of its purchase price and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures incurred after the assets have been put into operation, such as repairs and maintenance and overhaul costs, are recognized in profit or loss in the period in which the costs are incurred.

In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of the assets.

Construction in progress includes cost of construction and other direct costs and is stated at cost less any impairment in value. Construction in progress is not depreciated until such time the relevant assets are completed and put into operational use.

The cost of land comprises its purchase price and directly attributable cost incurred. Land is stated at cost less than any impairment in value. Depreciation and amortization commence once the assets are available for use. It ceases at the earlier of the date that it is classified as noncurrent asset held-for-sale and the date the asset is derecognized.

Depreciation is computed on a straight-line method over the estimated useful lives of the assets as follows:

	Years
Leasehold improvements	10 to 12
Store furniture and equipment	5 to 10
Office furniture and equipment	3 to 5
Transportation equipment	3 to 5
Computer equipment	3

Leasehold improvements are amortized over the estimated useful life of the improvements, five (5) to eight (8) years, or the term of the lease, whichever is shorter.

The assets' estimated useful lives and depreciation and amortization method are reviewed periodically to ensure that the period and method of depreciation and amortization are consistent with the expected pattern of economic benefits from the items of property and equipment. When assets are retired or otherwise disposed of, the cost or revalued amount and the related accumulated depreciation and amortization and any impairment in value are removed from the accounts and any resulting gain or loss is recognized in profit or loss.

Fully depreciated assets are retained in the books until disposed.

Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less accumulated amortization and any accumulated impairment loss, if any.

Goodwill

Goodwill, included in "Goodwill and other noncurrent assets" account in the consolidated balance sheet, represents the excess of the cost of an acquisition over the fair value of the businesses acquired. Following initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill are tested for impairment annually at the CGU level and are not amortized.

Software and Program Cost

Software and program cost, which are not specifically identifiable and integral to a specific computer hardware, are shown under "Goodwill and other noncurrent assets" account in the consolidated balance sheet. These are carried at cost, less accumulated amortization and any impairment in value. Amortization is computed on a straight-line method over their estimated useful life of five years.

Impairment of Non-financial Assets

The Group assesses at each balance sheet date whether there is an indication that its non-financial assets such as ROU asset, property and equipment, rent deposits and intangible assets may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, /the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. For goodwill, the asset's recoverable amount is its value in use.

When the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value, using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. Impairment losses, if any, are recognized in the statement of comprehensive income.

For non-financial assets, excluding goodwill, an assessment is made at each balance sheet date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such an indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That

increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in previous years. Such a reversal is recognized in profit or loss, unless the asset is carried at revalued amount, in which case, the reversal is treated as a revaluation increase. After such a reversal, the depreciation charge is adjusted in the future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Goodwill is reviewed for impairment, annually or more frequently if event or changes in circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of the CGU or group of CGUs to which the goodwill relates. Where the recoverable amount of the CGU or group of CGUs is less than the carrying amount of the CGU or group of CGUs to which goodwill has been allocated, an impairment loss is recognized. Impairment losses relating to goodwill cannot be reversed in future periods.

Deposits Payable

Deposits payable are amounts received from franchisees, store operators and sublessees as guarantee in relation to various agreements entered into by the Group. These are initially accounted for at fair value. The fair value of the deposit is determined based on the prevailing market rate of interest implicit to the lease.

The excess of the principal amount of the deposit over its fair value is accounted for by both the lessee and the Group as a prepaid lease payment. The lessee includes these amounts in the costs of its ROU asset at the lease commencement date. For the Group, if the lease is classified as an operating lease, the prepaid lease payment is included in the total lease payments that are recognized as income on either a straight-line basis or another systematic basis if that basis is more representative of the pattern in which benefit from the use of the underlying asset is diminished. If the lease is classified as a finance lease, the Group includes the prepaid lease payment in the consideration for the lease (i.e. lease payments) and, therefore, in the determination of the gain or loss on derecognition of the underlying asset, if any. Interest on the deposit, meanwhile, is accounted for using the EIR method by both the lessee and the Group.

Deferred Revenue

Deferred revenue is recognized for cash received for income not yet earned. Deferred revenue is recognized as revenue over the life of the revenue contract or upon delivery of goods or services.

Cumulative Redeemable Preferred Shares

Cumulative redeemable preferred shares that exhibit characteristics of a liability is recognized as a financial liability in the consolidated balance sheet, net of transaction cost. The corresponding dividends on those shares are charged as interest expense in profit or loss.

Revenue Recognition under PFRS 15

Revenue from Contracts with Customers

Revenue from contracts with customers is recognized when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services. The Group assesses its revenue arrangements against specific criteria to determine if it is acting as a principal or as an agent. The Group has concluded that it is acting as principal in majority of its revenue arrangements.

Revenue from Merchandise Sales

Revenue from merchandise sales is comprised of revenue from sale of goods and revenue from redemption of points. Transaction price of merchandise sales, which excludes discounts, returns, rebates and sales taxes, is normally received at the time of sale and is allocated between the goods sold and the points issued using relative stand-alone selling price method. The amount of transaction price allocated to the goods sold are recognized when control over the goods has passed to the buyer, which happens at the time of sale. The amount of transaction price allocated to the points issued is deferred and recognized as revenue when the points are redeemed or have expired, whichever comes earlier.

Revenue from sale of goods is recognized at point in time once the performance obligation to the customer is satisfied. Payment of the transaction price is due immediately at the point the customer purchased the goods.

Customer Loyalty Program

Customer loyalty program gives rise to a separate performance obligation as they provided a material rights to a customer. A part of the transaction price from merchandise sales is allocated to the loyalty points awarded to customer based on relative stand-alone and recognized as contract liability until the points are redeemed. Revenue is recognized upon redemption of products by the customer.

When estimating stand-alone selling price of the loyalty points, the Group considers that the customer will redeem the points. The Group updates estimate of points that will be redeemed on a quarterly basis.

Franchise Revenue

Initial franchise fees are recognized on a straight-line basis over the term of the franchise agreement, which ranges from 3 to 5 years. The transaction price for franchise agreement is discounted, using the rate that would be reflected in a separate financing transaction between the Group and its customers at contract inception, to take into consideration the significant financing component.

Continuing franchise fees in exchange for the franchise right granted over the term of the franchise agreement are recognized as revenue when the subsequent sale of merchandise by the franchisees occurs.

Service Income

Service income is recognized upon performance of the related service.

Rental Income

Rental income is accounted for based on the contractual period of the lease, as provided under the terms of the lease contract.

Interest Income

Interest income is recognized as it accrues based on the EIR method.

Other Income

Other income is recognized when there are incidental economic benefits, other than the usual business operations, that will flow to the Group and can be measured reliably.

Contract Balances

Contract Liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made, or the payment is due (whichever is earlier). Contract liabilities are recognized as revenue when the Group performs under the contract.

Costs and Expenses Recognition

Cost of merchandise sales is recognized in profit or loss at the point of sale. Marketing support and other amounts arising from trading terms agreements and conformes that do not qualify as distinct performance obligation are presented as deduction to cost of merchandise sales.

Expenses are recognized in profit or loss upon utilization of the services or when they are incurred.

Lease under PFRS 16

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement at inception date. The arrangement is assessed for whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in the arrangement.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and ROU assets representing the right to use the underlying assets.

ROU Asset

The Group recognizes ROU assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). ROU assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any re-measurement of lease liabilities. The cost of ROU assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received and estimate of cost to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease, unless those costs are incurred to produce inventories.

Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized ROU assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term as follows:

	Years
Warehouses	5 to 25
Convenience stores	5 to 15
Kitchen	5 to 7
Office space	3 to 7

ROU assets are presented separately in the consolidated statement of financial position and are also subject to impairment test

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating a lease, if the lease term reflects the Group exercising the option to terminate. The variable lease payments that do not depend on an index or a rate are recognized as expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses the IBR at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Lease liabilities – current and noncurrent - are presented separately in the consolidated statement of financial position.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the low-value assets recognition exemption to leases that are considered of low value (i.e., below ₱250,000 or below). Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

Lease modification

Lease modification is defined as a change in the scope of a lease, or the consideration for a lease, that was not part of the original terms and conditions of the lease e.g., addition or termination of the right to use one or more underlying assets, or the extension or shortening of the contractual lease term.

In case of a lease modification, the lessor shall account for any such modification by recognizing a new lease from the effective date of the modification, considering any prepaid or accrued lease payments relating to the original lease as part of the lease payments for the new lease. In case of change in lease payments for an operating lease that does not meet the definition of a lease modification, the lessor shall account for any such change as a negative variable lease payment and recognize lower lease income.

Group as a Lessor

Leases where the Group retain substantially all the risks and benefits of ownership of the asset are classified as operating leases. Any initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognized over the lease term on the same bases as rental income. Rental income is recognized in the consolidated statement of comprehensive income on a straight-line basis over the lease term. All other leases are classified as finance leases. At the inception of the finance lease, the underlying is derecognized and lease receivable is recognized. Interest income is accrued over the lease term using the EIR and lease amortization is accounted for as reduction to lease receivable.

Sublease arrangements.

The Group determines if the sublease arrangement qualifies as a finance or operating lease. The Group assesses and classifies a sublease as a finance lease if it transferred substantially all the risk and rewards incidental to the ownership of the leased asset. The Group compares the sublease term, which is the franchise term, with the head lease term. If the franchise term accounts for the majority or 75% of the head lease term, same is classified as a finance lease, otherwise it is classified as an operating lease.

At the inception date, if the sublease qualifies as finance lease, the Group derecognizes the right-of-use asset on the head lease and continues to account for the original lease liability. The Group, as a sublessor, recognizes a net investment in sublease and evaluates it for impairment. If classified as an operating lease, the Group continues to account for the lease liability and right-of-use asset on the head lease like any other lease.

Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

Taxes

Current Income Tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that have been enacted or substantively enacted at the balance sheet date.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the consolidated statement of comprehensive income.

Deferred Tax

Deferred tax is provided, using the liability method, on all temporary differences at balance sheet date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary

differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences and carry forward benefits of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT), and unused net operating loss carry over (NOLCO), to the extent that it is probable that sufficient future taxable profit will be available against which the deductible temporary differences, and the carry forward benefits of MCIT over RCIT and NOLCO can be utilized, except:

- where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- in respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient future taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at the end of each reporting period and are recognized to the extent that it has become probable that sufficient future taxable profit will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted as at the end of the reporting period.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and liabilities are offset, if a legally enforceable right exists to offset current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

The Group recognizes separate deferred tax assets and deferred tax liabilities when the temporary differences arising on the initial recognition of an asset and liability are equal.

The Group's lease payments are deductible upon actual rental payment or accrual at the amount stated in the contract. In accounting for the deferred tax relating to leases, the Group separately presents deferred tax assets and the deferred tax liabilities. The Group separately accounts for the deferred tax on the taxable temporary difference and the deductible temporary difference, which upon initial recognition are equal and offset to zero. Deferred tax is recognized on subsequent changes to the taxable and temporary differences.

Segment Reporting

Operating segments are components of an entity for which separate financial information is available and evaluated regularly by management in deciding how to allocate resources and assessing performance. The Group considers the store operation as its primary activity and its only business segment. Franchising, renting of properties and commissioning on bills payment services are considered an integral part of the store operations.

Earnings Per Share

Basic earnings per share is calculated by dividing the net income for the year attributable to common shareholders by the weighted average number of shares outstanding during the year, excluding treasury shares.

Diluted earnings per share is calculated by dividing the net income for the year attributable to common shareholders by the weighted average number of shares outstanding during the year, excluding treasury shares and adjusted for the effects of all potential dilutive common shares.

In determining both the basic and diluted earnings per share, the effect of stock dividends, if any, is accounted for retrospectively.

3. Use of Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRS requires management to make judgments, estimates and assumptions that affect the amounts reported in the consolidated financial statements and notes. The judgments, estimates and assumptions used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as at balance sheet date. Future events may occur which can cause the assumptions used in arriving at those judgments, estimates and assumptions to change. The effects of any changes will be reflected in the consolidated financial statements of the Group as they become reasonably determinable.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations, which have the most significant effect on amounts recognized in the consolidated financial statements:

Presentation of Marketing Support and Other Amounts Arising from Trading Terms Agreements and Conformes

The Group receives amounts for marketing support and other activities from its suppliers. The Group determines whether these amounts are in exchange for distinct goods and/or services it transfers to its suppliers. In its determination, the Group considers whether the marketing support and other activities it performs are separable from the existing purchase agreements it has with its suppliers.

Marketing support and other amounts arising from trading terms agreements and conforms that do not qualify as distinct performance obligation are presented as deduction to cost of merchandise sales beginning January 1, 2018. Prior to January 1, 2018, these amounts are presented as part of "Marketing income" account and "Other income" account in the consolidated statement of comprehensive income depending on their nature.

Right to Access - Performance Obligation Satisfied Over Time

The Group determines whether it provides a franchisee with either:

- A right to access the Group's intellectual property (i.e., franchise license) throughout the term of the franchise agreement for which revenue is recognized over the term of the franchise agreement; or
- The rights granted by the franchise license directly expose the franchisee to any positive or negative effects of the Group's activities; and
- Those activities do not result in the transfer of a good or service to the franchisee as those activities occur.

The Group determined that it has met the all of the criteria mentioned above and concluded that it provides its franchisees with a right to access the Group's franchise license throughout the term of the franchise agreement. Accordingly, revenue from granting franchise license is recognized over the term of the franchise agreement.

Whether Activities Performed Prior to Franchise Store Opening are Distinct Performance Obligations

The Group undertakes activities prior to store opening (e.g., employee training, business plan consultation, store layout decoration, etc.) as indicated in the franchise agreement. The Group determines whether these activities are capable of being distinct (i.e., whether the franchisee can benefit on each of these activities on a standalone basis) and whether these activities are distinct within the context of the franchise agreement (i.e., whether these activities can be separated from the franchise license granted to the franchisee).

The Group determined that activities undertaken prior to store opening do not provide benefits to the franchisees without the underlying franchise license. Accordingly, initial franchisee fees are deferred and recognized as revenue over the term of the franchise agreement.

Classification of Redeemable Preferred Shares

The Group classifies a financial instrument, or its components, on initial recognition as a financial asset, liability or equity instrument in accordance with the substance of the contractual arrangement and the definitions of a financial asset, liability or equity instrument. The substance of a financial instrument, rather than its legal form, governs its classification in the consolidated financial position.

The Group classifies the cumulative redeemable preferred shares as liability in accordance with the redemption features contained in the shareholders agreement (see Note 16). The cumulative redeemable preferred shares are redeemable at the option of the holder.

The Group determines the classification at initial recognition and, where allowed and appropriate, reevaluates this classification at every balance sheet date.

Determining taxable profit (tax loss), tax bases, unused tax credits and tax rates

Upon adoption of the Philippine Interpretation IFRIC 23, Uncertainty over Income Tax Treatments, the Group has assessed whether it has any uncertain tax position. The Group applies significant judgement in identifying uncertainties over its income tax treatments. The Group determined, based on its tax compliance assessment, in consultation with its tax team, that it is probable that its income tax treatments (including those for the subsidiaries) will be accepted by the taxation authorities.

Accordingly, the interpretation did not have an impact on the consolidated financial statements of the Group.

Determining the lease term of contracts with renewal options – Group as a lessee

The Group has several lease contracts that include extension and termination options. The Group applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination option. After the commencement date, the Group reassess the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate.

The Group did not include the extension options as part of the lease term as these are not reasonably certain to be exercised since it is subject to mutual agreement of both parties and is considered unenforceable.

Classification of Leases as lessor

The Group entered into sublease agreements on its leased properties. The Group determines whether it has transferred all the significant risks and rewards of ownership of the leased properties to a lessee, such as lessee has the ultimate control over the use of the asset and the lease term is for the major part of the economic life of the asset. If it is determined that significant risks and rewards of ownership of lease properties were transferred to the lessees, the lease is accounted as finance lease. If otherwise, the lease is accounted for as an operating lease.

Estimates and Assumptions

The estimates and assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities recognized in the financial statements within the next financial year are discussed below. The estimates and assumptions are based on the parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions as they occur.

Determination of IBR

The Group cannot readily determine the interest rate implicit in the lease at lease commencement date, therefore, it uses its IBR to measure lease liabilities. IBR is the rate of interest that a lessee would have to pay to borrow over a similar term, similar security, the funds necessary to obtain an

asset of a similar value to the ROU asset in a similar economic environment. The IBR reflects what the Group 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs such as interest rates from partner banks based on the term of its loan borrowings and make certain-specific estimates based on the Group credit worthiness.

Estimating Allowance for Impairment of Financial Assets

The following information explains the inputs, assumptions and techniques used by the Group in estimating ECL:

- General approach for cash and due for related parties
The ECL is measured on either a 12-month or lifetime basis depending on whether a significant increase in credit risk has occurred since initial recognition or whether an asset is considered to be credit-impaired. The Group considers the probability of its counterparty to default its obligation and the expected loss at default after considering the effects of collateral, any potential value when realized, forward-looking estimates and time value of money.
- Simplified approach for receivables
The group uses a simplified approach for calculating ECL on receivables through the use of provision matrix to calculate ECLs. The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. At every report date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.
- Incorporation of forward-looking information
The Group considers the inflation rate as forward-looking macro-economic assumption for the determination of unbiased general industry adjustments and any related specific industry adjustments that support the calculations of ECLs. A broad range of forward-looking information are considered as economic inputs such as the gross domestic product, inflation rate, unemployment rates and other economic indicators.

The Group identifies and documents key drivers of credit risks and credit losses of each portfolio of financial instruments and, using an analysis of historical data has estimated relationships between macro-economic variables and credit risk and credit losses.

Predicted relationships between the key macro-economic indicators and default loss rates on various portfolios of financial assets have been developed based on analyzing historical data over the past 3 years. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The carrying value of receivables amounted to ₱3,323,952,446 and ₱3,623,916,118 as at September 30, 2025 and December 31, 2024, respectively (see Note 5). Allowance for impairment of receivables amounted to ₱130,160,248 as at September 30, 2025 and December 31, 2024. Provision for impairment of receivables amounted to ₱176,401 and nil in 2025 and 2024, respectively (see Notes 5 and 19).

Estimating Net Realizable Value (NRV) of Merchandise Inventories

The Group carries merchandise inventory at NRV whenever the utility of it becomes lower than cost due to damage, physical deterioration, obsolescence, changes in price levels, losses or other causes. The estimate of the NRV is reviewed regularly.

Estimates of NRV are based on the most reliable evidence at the time the estimates are made on the amount the inventories are expected to be realized. These estimates take into consideration fluctuations of price or cost directly relating to events occurring after reporting date to the extent that such events confirm conditions existing at reporting date. The NRV is reviewed periodically to reflect the accurate valuation in the financial records.

No provision for impairment losses on merchandise inventories was recognized in 2024 and 2025.

Merchandise inventories amounted to ₱7,491,720,966 and ₱7,461,092,436 as of September 30, 2025, and December 31, 2024, respectively (Note 6).

Estimating Impairment of Non-Financial Assets Other than Goodwill

The Group assesses whether there are any indicators of impairment for all non-financial assets, other than goodwill, at each balance sheet date. These non-financial assets (property and equipment, rent deposits, and software and program cost) are tested for impairment when there are indicators that the carrying amounts may not be recoverable.

The factors that the Group considers important which could trigger an impairment review include the following:

- Significant underperformance relative to expected historical or projected future operating results;
- Significant changes in the manner of use of the acquired assets or the strategy for overall business;
- Significant negative industry or economic trends; and decline in appraised value.

Determining the net recoverable amount of assets required the estimation of cash flows expected to be generated from the continuous use and ultimate disposition of such assets. While it is believed that the assumptions used in the estimation of fair value reflected in the consolidated financial statements are appropriate and reasonable, significant changes in these assumptions may materially affect the assessment of recoverable amount and any resulting impairment loss could have a material adverse impact on the results of operations.

As at September 30, 2025 and 2024, the Group has not identified any indicators or circumstances that would indicate that the Group's ROU asset, property and equipment, rent deposits and software and program cost are impaired. Thus, no impairment losses on these non-financial assets were recognized in 2025, 2024 and 2023.

The carrying values of these non-financial assets are as follows:

	September 30, 2025	December 31, 2024
Right-of-use asset (Note 25)	₱10,058,760,374	₱9,031,384,126
Property and equipment (Note 8)	9,049,575,665	8,033,528,479
Software and program cost (Note 10)	13,767,375	11,904,106

Estimation of Retirement Benefits

The net retirement benefits cost and the present value of retirement obligations are determined using actuarial valuations. The actuarial valuation involves making various assumptions. These include the determination of the discount rates, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, defined benefit obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each financial reporting date.

In determining the appropriate discount rate, management considers the interest rates of government bonds that are denominated in the currency in which the benefits will be paid, with extrapolated maturities corresponding to the expected duration of the defined benefit obligation.

The mortality rate is based on publicly available mortality tables for the specific country. Future salary increases and pension increases are based on expected future inflation rates.

Realizability of Deferred Income Tax Assets

Deferred income tax assets are recognized for all temporary deductible differences to the extent that it is probable that sufficient future taxable profits will be available against which the deductible temporary differences can be utilized. Management has determined based on business forecast of succeeding years that there is enough taxable profits against which the recognized deferred income tax assets will be realized.

4. Cash and Cash Equivalents

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cash on hand	₱793,728,934	₱1,182,951,893
Cash in banks	4,971,563,619	8,246,682,082
Cash equivalents	125,000,000	1,656,817,473
	₱5,890,292,553	₱11,086,451,448

Cash in banks earn interest at the respective bank deposit rates. Cash equivalents are made for varying periods up to six months depending on the immediate cash requirements of the Group and earn interest at the respective cash equivalent rates.

5. Receivables

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Franchisees and store operators (Note 31)	₱2,135,047,551	₱2,926,095,852
Suppliers (Note 24)	920,903,316	502,946,614
Leases (Note 25)	323,992,541	252,289,656
Employees	49,129,500	44,964,101
Rent	12,116,921	9,645,107
Due from PhilSeven Foundation, Inc. (PFI) (Note 24)	223,474	174,808
Insurance receivable	1,948,397	2,851,514
Others	10,637,093	14,932,314
	3,453,998,794	3,753,899,966
Less allowance for impairment (Note 29)	130,046,348	129,983,848
	3,323,952,446	3,623,916,118
Less noncurrent portion of:		
Lease receivable	265,843,766	187,531,699
Receivables from franchisees	15,146,859	16,534,063
	280,990,624	204,065,762
	₱3,042,961,822	₱3,419,850,356

Impairment on receivables is based on individual assessment of accounts. Movements in allowance for impairment as at September 30, 2025 and December 31, 2024 are as follows:

	Beginning balances	Provision for the year (Note 19)	Write-off	Ending balances
Franchisees and store operators	₱107,004,709	₱62,500	₱—	₱107,067,209
Suppliers	19,511,505	—	—	19,511,505
Employees	248,203	—	—	248,203
Rent	2,451,510	—	—	2,451,510
Others	767,921	—	—	767,921
Total	₱129,983,848	₱62,500	₱—	₱130,046,348

6. Inventories

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
At cost:		
Warehouse merchandise	₱3,121,199,784	₱3,625,674,217
Store merchandise	4,370,521,181	3,835,418,219
	₱7,491,720,966	₱7,461,092,436

7. Prepayments and Other Current Assets

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Advances for e-money (Note 31)	₱337,535,930	₱750,124,591
Current portion of deferred input VAT	104,430,276	156,025,133
Prepaid:		
Taxes	437,396,187	231,741,354
Insurance	50,216,614	2,935,192
Rent for short-term leases	4,242,887	26,011,754
Dues and subscription	6,694,155	6,405,824
Store expenses	30,859,823	20,699,883
Gift cards	2,814,279	2,815,249
Uniform	6,058,827	3,267,721
Others	9,721,177	5,376,535
Advances to suppliers	200,917,348	180,234,078
Supplies	16,533,404	102,111,181
Advances for expenses	59,707,469	50,540,451
Others	20,176,089	12,912,435
	₱1,287,304,464	₱1,551,201,382

8. Property and Equipment

Movements in property and equipment are as follows:

	September 30, 2025 (Unaudited)								
	Land- at revalued Amount	Buildings and Improvements	Store Furniture and Equipment	Office Furniture and Equipment	Transportation Equipment	Computer Equipment	Leasehold Improvements	Construction In-Progress	Total
Costs/Revalued Amount									
Beginning balances	₱39,866,864	₱155,481,144	₱11,614,533,949	₱4,121,358,365	₱146,373,360	₱1,315,801,774	₱5,824,158,443	₱379,617,595	₱23,597,191,494
Additions	–	–	1,558,881,304	431,807,855	11,419,193	386,926,362	181,290,784	469,484,832	3,039,810,330
Retirements	–	–	(696,926,502)	(46,488,443)	(22,934)	(137,490,671)	(37,203,021)	–	(918,131,580)
Reclassifications	–	–	–	–	–	–	438,132,655	(438,132,655)	–
Ending balances	39,866,864	155,481,144	12,476,488,751	4,506,677,777	157,769,610	1,565,237,465	6,406,378,862	410,969,772	25,718,870,245
Accumulated Depreciation and Amortization									
Beginning balances	–	139,502,250	7,686,258,953	2,945,273,367	92,669,960	92,669,960	3,747,295,989	–	15,563,663,015
Depreciation and amortization (Note 19)	–	2,276,701	1,023,202,213	316,745,876	7,920,220	215,463,986	454,025,417	–	2,023,763,144
Retirements	–	–	(696,926,502)	(46,488,443)	(22,934)	(137,490,671)	(37,203,021)	–	(918,131,580)
Reclassifications	–	–	565,547	(560,725)	–	–	(4,820)	–	–
Ending balances	–	141,778,951	8,013,100,210	3,214,970,075	104,695,968	1,030,635,812	4,164,113,565	–	16,669,294,581
Net Book Values	₱39,866,864	₱13,702,194	₱4,463,388,541	₱1,291,707,702	₱53,073,642	₱534,601,653	₱2,242,265,297	₱410,969,772	₱9,049,575,664

December 31, 2024 (Audited)

	Land	Buildings and Improvements	Store Furniture and Equipment	Furniture and Equipment	Transportation Equipment	Computer Equipment	Leasehold Improvements	Construction In-Progress	Total
Cost									
Beginning balances	₱39,866,864	₱155,481,144	₱9,770,628,215	₱3,620,248,888	₱119,956,407	₱1,044,711,197	₱5,070,328,962	₱191,895,316	₱20,013,116,993
Additions	–	–	2,071,434,343	570,605,698	26,416,953	281,956,346	192,383,507	811,985,959	3,954,782,806
Retirements	–	–	(228,238,855)	(69,736,418)	–	(10,865,769)	(61,867,263)	–	(370,708,305)
Reclassifications	–	–	710,246	240,197	–	–	623,313,237	(624,263,680)	–
Ending balances	39,866,864	155,481,144	11,614,533,949	4,121,358,365	146,373,360	1,315,801,774	5,824,158,443	379,617,595	23,597,191,494
Accumulated Depreciation and Amortization									
Beginning balances	–	135,555,649	6,665,429,570	2,632,604,758	77,103,976	787,197,121	3,103,055,882	–	13,400,946,956
Depreciation and amortization (Note 19)	–	3,946,601	1,249,068,238	381,942,892	15,565,984	176,331,144	706,107,370	–	2,532,962,229
Retirements	–	–	(228,238,855)	(69,274,283)	–	(10,865,769)	(61,867,263)	–	(370,246,170)
Reclassifications	–	–	–	–	–	–	–	–	–
Ending balances	–	139,502,250	7,686,258,953	2,945,273,367	92,669,960	952,662,496	3,747,295,989	–	15,563,663,015
Net Book Values	₱39,866,864	₱15,978,894	₱3,928,274,996	₱1,176,084,998	₱53,703,400	₱363,139,278	₱2,076,862,454	₱379,617,595	₱8,033,528,479

9. Deposits

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Refundable (Notes 28 and 29)	₱1,034,947,096	₱956,749,709
Utilities	133,803,720	109,379,660
Others	30,216,423	28,566,548
	₱1,198,967,240	₱1,094,695,917

10. Goodwill and Other Noncurrent Assets

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Noncurrent portion of:		
Deferred input VAT	₱10,652,931	₱12,005,790
Prepaid rent	22,634,423	12,768,161
Intangible assets:		
Goodwill	65,567,524	65,567,524
Software and program cost	13,767,375	11,904,106
Garnished accounts	2,206,458	2,126,368
	₱114,828,710	₱104,371,949

Goodwill

On March 22, 2004, the Group purchased the leasehold rights and store assets of Jollimart Philippines Corporation (Jollimart) for a total consideration of ₱130,000,000. The excess of the acquisition cost over the fair value of the assets acquired was recorded as goodwill amounting to ₱70,178,892. In 2008, the Group recognized an impairment loss in goodwill amounting to ₱4,611,368.

Garnished Accounts

Garnished accounts pertain to the amount set aside by the Group, as required by the courts, in order to answer for litigation claims should the results be unfavorable to the Group.

Other Noncurrent Assets

Other noncurrent assets pertain to the amount receivable from franchisees and lease receivable net of current portion of Group (see Note 5).

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Accounts under Receivables - net of current portion		
Receivable from franchisees	₱15,146,859	₱16,534,063
Lease receivable	265,843,766	187,531,699
	₱280,990,624	₱204,065,762

11. Bank Loans and Long-term DebtBank Loans

Bank loans represent unsecured Peso-denominated short-term borrowings of CDI from Bank of the Philippine Islands, payable in lump-sum in 2025 and 2024 with annual interest rates are 6.25%as at September 30, 2025 and 6.90%as at December 31, 2024, which are repriced monthly based on market conditions. The proceeds of these loans were used for the operations of the Group.

Movements in bank loans are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Beginning balance	₱70,000,000	₱70,000,000
Availments	130,000,000	70,000,000
Payments	(70,000,000)	(70,000,000)
Ending balance	₱130,000,000	₱70,000,000

Interest expense from these bank loans amounted to ₱5,352,569 and ₱11,814,321 at the end of September 30, 2025, and 2024 respectively (see Note 21). Interest payable amounted to ₱1,311,542 and ₱675,539 as at September 30, 2025 and 2024, respectively (see Note 12).

Long-term Debt

The Group did not avail of long-term debt in 2025.

12. Accounts Payable and Accrued Expenses

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trade payable:	₱7,228,782,345	₱9,711,807,210
Outsourced services	373,585,097	359,548,241
Utilities	261,183,819	288,669,746
Employee benefits	222,544,311	401,129,963
Repairs and maintenance	122,118,452	150,604,515
Rent payable	93,030,430	106,693,568
Internet charges	94,450,405	81,701,669
Professional fees	53,132,771	38,081,845
Taxes and licenses	43,985,760	42,771,593
Security services	37,777,405	35,294,111
Advertising and promotion	28,000	22,398,392
Bank charges	722,360	626,850
Interest (Notes 11 and 16)	1,311,542	782,504
Others (Note 33)	234,527,889	248,462,133
	₱8,767,180,585	₱11,488,572,340

13. Revenue from Contracts with Customers and Contract Liabilities

Set out below is the disaggregation of the Group's revenue from contracts with customers:

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Revenue streams		
Revenue from merchandise sales	₱62,635,509,958	₱58,912,272,344
Franchise revenue (Note 31)	5,285,019,965	4,724,835,449
Service income (Note 31)	1,216,356,009	1,276,995,950
	₱69,136,885,932	₱64,914,103,743
Timing of recognition:		
Goods transferred at a point in time	₱69,014,633,981	₱64,824,712,304
Services transferred over time	122,251,951	89,391,439
	₱69,136,885,932	₱64,914,103,743

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Initial franchise fees	₱529,781,476	₱444,018,601
Gift cards and other contract liabilities	578,324,307	571,146,955
Customer loyalty programme	33,527,404	33,411,669
	1,141,633,188	1,048,577,226
Less current portion	719,304,925	693,951,306
Noncurrent portion	₱422,328,263	₱354,625,920

Movements of contract liability arising from initial franchise fees are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Beginning balance	₱444,018,601	₱360,413,598
Amortization of initial franchise fees	(122,251,951)	(180,886,890)
Initial franchise fees received	184,880,357	242,693,131
Accretion of interest expense (Note 20)	23,134,469	21,798,762
Ending balance	₱529,781,476	₱444,018,601

14. Other Current Liabilities

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Non-trade accounts payable	₱3,400,040,153	₱6,265,112,411
Output VAT payable	762,035,669	638,934,994
Due to Franchisees (Note 31)	496,238,548	560,544,353
Retention payable	175,368,229	168,233,488
Withholding taxes	133,176,359	166,451,857
Unearned revenue (Note 31)	126,049,530	187,733,427
Royalty (Notes 24 and 31)	65,662,496	80,110,957
Service fees payable	3,815,899	—
Others (Note 24)	157,978,759	272,803,025
	₱5,320,365,641	₱8,339,924,512

Non-trade accounts payable pertain to those payable to suppliers of goods or services that forms part of general and administrative expenses. These are noninterest bearing and are due within one year.

15. Deposits Payable

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Franchisees (Note 31)	₱275,148,314	₱238,666,086
Service agreements (Note 31)	81,120,761	83,578,019
Rent	22,048,982	22,271,529
	₱378,318,057	₱344,515,634

16. Cumulative Redeemable Preferred Shares

Cumulative redeemable preferred shares, which are redeemable at the option of the holder, represent the share of PSC-ERP through its trustee, BPI-AMTG, in SSHI's net assets pertaining to preferred shares. PSC-ERP is entitled to an annual "Guaranteed Preferred Dividend" in the earnings of SSHI starting April 5, 2002, the date when the 25% of the subscription on preferred shares have been paid, in accordance with the Corporation Code.

17. Equity

Common Stock

The Group was listed with the Philippine Stock Exchange on February 4, 1998 with total listed shares of 71,382,000 common shares consisting of 47,000,000 shares for public offering and 24,382,000 shares for private placement. The Group offered the share at a price of ₱4.40. Below is the Company's track record of the registration of securities:

Date of SEC order rendered effective or permit to sell/ Date of SEC approval	Event	Authorized Capital Stock	Issued shares	Issue price/ Par value
January 9, 1998	Outstanding common shares	400,000,000	166,556,250	₱1.00
February 4, 1998	Listed shares:			
	Public offering	400,000,000	47,000,000	4.40
	Private placement	400,000,000	24,382,000	4.40
August 15, 2008	10% stock dividends	400,000,000	23,725,200	1.00
August 4, 2009	10% stock dividends	400,000,000	26,097,720	1.00
August 27, 2010	5% stock dividends	400,000,000	14,353,746	1.00
August 19, 2011	15% stock dividends	400,000,000	45,214,300	1.00
November 15, 2012	15% stock dividends	600,000,000	51,996,445	1.00
August 15, 2013	15% stock dividends	600,000,000	59,795,912	1.00
November 6, 2017	65% stock dividends	1,600,000,000	297,982,960	1.00
August 15, 2024	100% stock dividends	1,600,000,000	756,418,283	1.00
As at September 30, 2025, and December 31, 2024			1,513,522,816	

As at September 30, 2025, and December 31, 2024, the Company has a total of 588 and 591 shareholders on record. The Philippine SEC approved the Company's application for the increase in its authorized capital stock on October 18, 2017.

Treasury Shares

There are 686,250 shares that are in the treasury amounting to ₱2,923,246 as at September 30, 2025 and December 31, 2024. There is no movement in the Group's treasury shares for the nine months ended September 30, 2025.

18. Cost of Merchandise Sales

	Nine Months Ended September (Unaudited)	
	2025	2024
Merchandise inventory, beginning (Note 6)	₱7,461,092,436	₱6,497,669,744
Net purchases	45,182,970,655	42,562,102,576
	52,644,063,091	49,059,772,320
Less merchandise inventory, ending (Note 6)	7,491,720,966	5,833,319,370
	₱45,152,342,125	₱43,226,452,950

19. General and Administrative Expenses

	Nine Months Ended September 30, (Unaudited)	
	2025	2024
Depreciation and amortization (Note 8 and 26)	₱3,706,672,790	₱3,298,270,365
Outside services (Note 31)	3,599,962,241	3,159,100,439
Communication, light and water	3,506,925,580	2,998,887,325
Personnel costs (Note 22)	2,217,680,820	2,164,355,375
Trucking services	1,276,432,643	1,170,000,114
Warehousing services	955,890,377	806,675,323
Rent	830,348,604	785,690,390
Repairs and maintenance	879,124,681	737,410,932
Royalties (Note 31)	717,701,786	686,600,073
Supplies	664,120,343	595,808,486
Taxes and licenses	502,967,892	484,045,204
Advertising and promotion	504,911,771	401,933,474
Dues and subscription	266,602,168	164,906,502
Transportation and travel	137,034,421	131,881,772
Insurance	78,353,788	54,935,862
Entertainment, amusement and recreation	14,594,615	14,625,921
Others	325,459,075	373,338,580
	₱20,188,917,422.2	₱18,028,466,137

The details of depreciation expense follow:

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Depreciation of property and equipment (Note 8)	₱2,023,763,144	₱1,819,440,252
Depreciation of ROU asset (Note 25)	1,682,909,646	1,478,830,113
	₱3,706,672,790	₱3,298,270,365

20. Interest Expense

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Interest on accretion of lease liabilities (Note 25)	₱746,632,376	₱709,462,369
Interest on accretion of initial franchise fee (Note 13)	23,134,469	15,495,008
Interest on deposit payable (Note 15)	8,818,872	—
Interest on bank loans and long-term debt (Note 11)	5,352,569	11,814,321
Guaranteed preferred dividends (Note 16)	330,315	338,895
	₱784,268,602	₱737,110,593

21. Interest Income

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Cash and cash equivalents (Note 4)	₱64,668,719	₱202,635,216
Accretion of lease receivable (Note 26)	18,547,850	169,243,403
Receivable from employees (Note 5)	1,149,095	791,158
Accretion of refundable deposits (Note 9)	20,669,463	120,934
	₱105,035,127	₱372,790,711

22. Personnel Costs

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
Salaries and wages	₱1,193,375,885	₱1,023,008,173
Employee benefits	932,576,098	1,071,953,466
Net retirement benefits cost (Note 23)	91,728,837	69,393,736
	₱2,217,680,820	₱2,164,355,375

23. Retirement Benefits

The Group maintains a trustee, non-contributory defined benefit retirement plan covering all qualified employees administered by a trustee bank under the supervision of the Board of Trustees of the plan. The Board of Trustees is responsible for investment of the assets. It defines the investment strategy as often as necessary, at least annually, especially in the case of significant market developments or changes to the structure of the plan participants. When defining the investment strategy, it takes account of the plans' objectives, benefit obligations and risk capacity. The investment strategy is defined in the form of a long-term target structure (investment policy). The Board of Trustees delegates the implementation of the investment policy in accordance with the investment strategy as well as various principles and objectives to an Investment Committee, which also consists of members of the Board of Trustees, a Director and a Controller. The Controller of the fund is the one who oversees the entire investment process.

Under the existing regulatory framework, Republic Act 7641 requires a provision for retirement pay to qualified private sector employees in the absence of any retirement plan in the entity, provided however that the employee's retirement benefits under any collective bargaining and other agreements shall not be less than those provided under the law. The law does not require minimum funding of the plan.

24. Related Party Transactions

Related party relationships exist when one party has the ability to control, directly or indirectly through one or more intermediaries, the other party or exercise significant influence over the other party in making financial and operating decisions. Such relationships also exist between and/or among entities which are under common control with the reporting enterprise, or between and/or among the reporting enterprises and their key management personnel, directors or its stockholders.

Transactions with related parties consist of:

- PSC and CDI have transactions with PFI, a foundation with common key management of the Group, consisting of donations and noninterest-bearing advances pertaining primarily to salaries, taxes and other operating expenses initially paid by PSC for PFI. Donations payable to PFI are presented under "Others" in the "Other current liabilities" in the consolidated balance sheets (see Note 14).
- PSC provides promotional support to Uni-President (Philippines) Corp. (UPPC). PSC has outstanding receivable from UPPC, presented as part of "Receivable from suppliers" under "Receivables" account in consolidated statement of financial position (see Note 5). PSC also purchases merchandise goods from UPPC. PSC has outstanding payable to UPPC, presented as part of "Trade payable" under "Accounts payable and accrued expenses" account in consolidated statement of financial position (see Note 12).
- President Chain Store Corporation (PCSC), an intermediate parent company, provide rights to PSC for the use of its Trademark for City café Trademarks. In accordance with their agreement, the Group pays annually, among others, royalty fees based on a certain percentage of sales, net of gross receipts tax.

- d. The Parent Company acquires physical inventory services from Uni-Sogood, presented as part of "Trade payable" under "Accounts payable and accrued expenses" account in Parent Company's statement of financial position (see Note 14).
- e. As at September 30, 2025 and December 31, 2024, PSC and CDI defined benefit retirement fund has investments in shares of stock of the Parent Company with a cost of ₱122,417.

25. Leases

Group as a lessee

The Group has various lease agreements for company-owned and franchised convenience stores, office spaces, kitchens and warehouses. Leases agreement of the Group generally have lease terms between 3 to 25 years (Note 2). The Group's obligations under its leases are secured by the lessor's title to the lease assets. There are several lease contracts that include extension and termination options and variable lease payments.

ROU asset represents store, warehouse, kitchen and office spaces leased by the Group which are amortized over the remaining lease term:

Changes in the ROU assets are as follows:

	September 30, 2025				
	Store	Warehouse	Office	Kitchen	Total
<i>Cost</i>					
Beginning balances	₱15,578,653,039	₱2,346,901,890	₱339,093,065	₱73,651,593	₱18,338,299,587
Additions	2,766,219,980	244,836,118	25,399,824	1,093,754	3,037,549,677
Reclassification	(480,833,470)	-	-	-	(480,833,470)
Retirements for store closures	(110,965,119)	-	-	-	(110,965,119)
Ending balances	17,753,074,430	2,591,738,008	364,492,889	74,745,347	20,784,050,675
<i>Accumulated Depreciation and Amortization</i>					
Beginning balances	8,077,207,697	1,010,663,550	164,156,194	54,888,020	9,306,915,461
Depreciation	1,448,239,593	206,484,140	21,750,777	6,435,136	1,682,909,646
Reclassification	(166,573,593)	-	-	-	(166,573,593)
Retirements	(97,961,214)	-	-	-	(97,961,214)
Ending balances	9,260,912,483	1,217,147,690	185,906,971	61,323,156	10,725,290,300
Net Book Values	₱8,492,161,947	₱1,374,590,318	₱178,585,918	₱13,422,191	₱10,058,760,374

	December 31, 2024 (Audited)				
	Store	Warehouse	Office	Kitchen	Total
<i>Cost</i>					
Beginning balances	₱11,354,116,622	₱2,051,342,349	₱248,556,377	₱50,087,458	₱13,704,102,806
Additions	3,321,162,647	295,559,541	103,719,431	31,035,413	3,751,477,032
Reclassification	1,027,512,231	-	-	-	1,027,512,231
Retirements for store closures	(124,138,461)	-	(13,182,743)	(7,471,278)	(144,792,482)
Ending balances	15,578,653,039	2,346,901,890	339,093,065	73,651,593	18,338,299,587
<i>Accumulated Depreciation and Amortization</i>					
Beginning balances	6,614,076,720	807,815,294	107,433,799	44,961,087	7,574,286,900
Depreciation (Note 19)	1,691,680,161	202,848,256	69,905,138	10,658,205	1,975,091,760
Reclassification	(114,278,661)	-	-	6,740,006	(107,538,655)
Retirements	(114,270,523)	-	(13,182,743)	(7,471,278)	(134,924,544)
Ending balances	8,077,207,697	1,010,663,550	164,156,194	54,888,020	9,306,915,461
Net Book Values	₱7,501,445,342	₱1,336,238,340	₱174,936,871	₱18,763,573	₱9,031,384,126

The following are the amounts recognized in statement of comprehensive income:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Depreciation expense of ROU assets (Note 19)	₱1,682,909,646	₱1,975,091,760
Interest expense on lease liabilities (Note 20)	746,632,376	886,704,883
Expense relating to short-term leases	764,585,680	925,510,244
Variable lease payments	46,671,301	72,243,519
Expense relating to low value assets	19,091,624	102,722,347
	₱3,259,890,626	₱3,962,272,753

Lease liabilities represent payments to be made over the remaining lease term. Movement of the lease liabilities during the period are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Beginning balance	₱11,951,435,743	₱9,801,530,958
Additions	2,813,953,374	4,198,945,358
Retirements	(34,780,966)	(165,691,582)
Interest Expense	687,288,393	886,704,883
Payments	(2,077,034,192)	(2,770,053,874)
Balance at end of the period	₱13,340,862,352	11,951,435,743
Current lease liabilities	2,400,667,242	2,369,094,655
Noncurrent lease liabilities	10,940,195,110	₱9,582,341,088

Most of the contracts covering property leased by PSC have stipulations stating that the right on the renewal of lease is on the hand of the lessee, although rates, terms and conditions are still to be agreed in the future. As such, it is not reasonably certain that the PSC will exercise the option to extend the lease since the extension is considered unenforceable.

The Company has various short-term lease agreements relating to its store operations. Certain agreements provide for the payment of rentals based on various schemes such as an agreed percentage of net sales for the month and fixed monthly rate. As at September 30, 2025, rent expense related to short-term leases, variable lease payments and low-value assets amounting to ₱764,585,680, ₱46,671,301 and ₱19,091,624, respectively.

Group as a lessor

The Group has various sublease agreements which provide for lease rentals based on an agreed fixed monthly rate or as agreed upon by the parties. Rental income related to these sublease agreements amounted to ₱48,252,819, ₱114,394,152 and ₱58,114,365 in 2025, 2024 and 2023, respectively.

The Group enters into a transaction for which the underlying asset is re-leased to the franchisees, and original lease contract between 3rd party and the Group remains in effect. Currently, franchisees have two different leasing scenarios, (a) 3-party lease contract where the Group acts as the intermediate lessee to the third-party lessor while the franchisee acts as the sublessee and (b) 2-party lease contract where the franchisee, similar with the scenario, (a) acts as the sublessee at the same time the lessor or owner of the leased property.

Lease receivable represents receipts to be received over the remaining lease term. Movement of the lease receivables during the period are as follows:

	Sublease Lease Arrangement	
	3-Party	2-Party
Balance at beginning of the period (Note 2)	₱252,289,656	₱1,002,332,707
Additions	22,229,254	199,968,978
Contractual receipts	(73,047,754)	(208,600,820)
Interest income	18,547,850	56,955,893
Reclassification	133,547,494	–
Store conversion from franchise to company-owned	(29,573,958)	(8,695,866)
Retirement	–	–
Balance at as September 30, 2025	₱323,992,541	₱1,041,960,892

	3-Party	2-Party
Balance at beginning of the period	₱1,374,299,843	₱908,087,690
Additions	713,789,865	304,067,451
Contractual receipts	(425,735,476)	(274,212,201)
Reclassification	(1,416,560,743)	–
Store conversion from franchise to company-owned	(60,476,586)	(15,276,780)
Interest income (Note 21)	123,296,687	79,666,547
Retirement	(56,323,934)	–
Balance at as December 31, 2024	₱252,289,656	₱1,002,332,707

Lease receivable and lease liabilities from 2-party sublease arrangement are offset in presenting the balances at the consolidated financial position, as these contain offsetting arrangements.

26. Basic/Diluted Earnings Per Share

	Nine Months Ended September 30 (Unaudited)	
	2025	2024
a. Net income (loss)	₱2,377,211,504	₱2,577,940,959
b. Weighted average number of shares issued	1,513,522,816	1,513,522,816
c. Less weighted average number of shares held in treasury	686,250	686,250
d. Weighted average number of shares outstanding (b-c)	1,512,836,566	1,512,836,566
e. Basic/diluted earnings per share (a/d)	₱1.57	₱1.70

The Group does not have potentially dilutive common shares as at September 30, 2025 and December 31, 2024. Thus, the basic earnings per share is equal to the diluted earnings per share as at those dates.

27. Financial Instruments

The comparison of the carrying value and fair value of all of the Company's financial instruments (those with carrying amounts that are not equal to their fair values) as at September 30, 2025 and December 31, 2024 are as follows:

	September 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Carrying Value	Fair Value	Carrying Value	Fair Value
FINANCIAL ASSETS				
<i>Financial Assets at Amortized Cost</i>				
Deposits				
Refundable (Notes 7, 9 and 29)	1,034,947,096	1,034,947,096	956,749,709	814,625,244
	₱1,034,947,096	₱1,034,947,096	₱956,749,709	₱814,625,244

Refundable deposits are categorized under level 3 in the fair value hierarchy.

Fair Value Information

Current Financial Assets and Financial Liabilities

Due to the short-term nature of the related transactions, the fair values of cash and cash equivalents, short-term investment, receivables (except for lease receivables), accounts payable and accrued expenses and other current liabilities approximates their carrying values as at balance sheet date.

Utility and Other Deposits

The fair value of utility and other deposits approximates its carrying value as it earns interest based on repriced market conditions.

Refundable Deposits

The fair value of deposits is determined by discounting the sum of future cash flows using the prevailing market rates for instruments with similar maturities as at September 30, 2025 and December 31, 2024 ranging 3.76% to 10.84% and 3.76% to 10.84% respectively.

Bank Loans

The carrying value approximates fair value because of recent and monthly repricing of related interest based on market conditions.

Cumulative Redeemable Preferred Shares

The carrying value approximates fair value because corresponding dividends on these shares that are charged as interest expense in profit or loss are based on recent treasury bill rates repriced annually at year end.

Fair Value Hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1 - quoted (unadjusted) prices in active markets for identical assets or liabilities
- Level 2 - valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

As at September 30, 2025 and December 31, 2024, the Group has no financial instruments measured at fair value.

28. Financial Risk Management Objectives and Policies

The main risks arising from the Group's financial instruments are credit risk, liquidity risk, interest rate risk and foreign exchange risk. The BOD reviews and approves policies for managing each of these risks. The BOD also created a separate board-level entity, which is the Audit Committee, with explicit authority and responsibility in managing and monitoring risks. The Audit Committee, which ensures the integrity of internal control activities throughout the Group, develops, oversees, checks and pre-approves financial management functions and systems in the areas of credit, market, liquidity, operational, legal and other risks of the Group, and crisis management. The Internal Audit Department and the External Auditor directly report to the Audit Committee regarding the scope and coordination of audit and any related activities. Listed below are the summarized risk identified by the BOD.

Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The receivable balances are monitored on an ongoing basis with the result that the Group's exposure to impairment is managed to a not significant level. The Group deals only with counterparty duly approved by the BOD.

The table below shows the gross maximum exposure to credit risk of the Company, without considering the effects of collaterals, credit enhancements and other credit risk mitigation techniques and the net maximum exposure to credit risk of the Company after considering the effect of collaterals, credit enhancements and other credit risk mitigation techniques.

September 30, 2025 (Unaudited)			
	Gross Maximum Exposure (a)	Fair Value and Financial Effect of Collateral or Credit Enhancement (b)	Net Exposure (c) = (a) - (b)
Cash and cash equivalents:			
Cash in banks	₱4,971,563,619	₱8,000,000	₱4,963,563,619
Cash equivalents	125,000,000	—	125,000,000
	5,096,563,619	8,000,000	5,088,563,619
Short-term investments	—	—	—
Receivables:			
Franchisees and store operators	2,012,833,484	—	2,012,833,484
Suppliers	901,391,811	—	901,391,811
Leases	58,148,775	—	58,148,775
Employees	48,881,297	—	48,881,297
Rent	9,665,411	—	9,665,411
Due from PFI	223,474	—	223,474
Insurance receivable	1,841,633	—	1,841,633
Others	9,975,935	—	9,975,935
	3,042,961,822	—	3,042,961,822
Advances for e-money	337,535,930	—	337,535,930
Deposits:			
Refundable*	1,037,524,174	—	1,037,524,174
Utilities	133,803,720	—	133,803,720
Others	30,216,423	—	30,216,423
	1,201,544,317	—	1,201,544,317
Other noncurrent assets:			
Noncurrent portion of receivable -			
from leases	265,843,766	—	265,843,766
from franchisees	15,146,859	—	15,146,859
	₱9,959,596,312	₱8,000,000	₱9,951,596,312

*Current portion amounting to ₱2,577,078 and ₱1,710,560 as at September 30, 2025 and December 31, 2024, respectively, are presented as part of "Others" under "Prepayments and other current assets" account.

December 31, 2024 (Audited)			
	Gross Maximum Exposure (a)	Fair Value and Financial Effect of Collateral or Credit Enhancement (b)	Net Exposure (c) = (a) - (b)
Cash and cash equivalents:			
Cash in banks	₱8,246,682,082	₱8,000,000	₱8,238,682,082
Cash equivalents	1,656,817,473	—	1,656,817,473
	9,903,499,555	8,000,000	9,895,499,555
Short-term investments	—	—	—
Receivables:			
Franchisees and store operators	2,802,557,080	—	2,802,557,080
Suppliers	483,435,109	—	483,435,109
Leases	64,757,957	—	64,757,957
Employees	44,715,898	—	44,715,898
Rent	7,193,597	—	7,193,597
Due from PFI	174,808	—	174,808
Insurance receivable	2,744,752	—	2,744,752
Others	14,271,155	—	14,271,155
	3,419,850,356	—	3,419,850,356
Advances for e-money	750,124,591	—	750,124,591
Deposits:			
Refundable*	960,267,731	—	960,267,731
Utilities	109,379,660	—	109,379,660
Others	28,566,548	—	28,566,548
	1,098,213,939	—	1,098,213,939
Other noncurrent assets:			
Noncurrent portion of receivable -			
from leases	187,531,699	—	187,531,699
from franchisees	16,534,063	—	16,534,063
	₱15,375,754,204	₱8,000,000	₱15,367,754,204

September 30, 2025 (Unaudited)				
	Total	Stage 1 12 months ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL
Cash and cash equivalents				
Cash in banks	₱4,971,563,619	₱4,971,563,619	—	—
Cash equivalents	125,000,000	125,000,000	—	—
	5,096,563,619	5,096,563,619	—	—
Short-term investments	—	—	—	—
Receivables				
Franchisees and store operators	2,119,900,692	1,944,878,840	67,954,645	107,067,208
Suppliers	920,903,316	874,185,726	27,206,085	19,511,505
Leases	58,148,775	58,148,775	—	—
Employees	49,129,500	34,618,401	14,262,896	248,203
Rent	12,116,921	2,943,763	6,721,648	2,451,510
Due from PFI	223,474	223,474	—	—
Insurance receivable	1,948,397	1,406,740	434,893	106,764
Others	10,637,093	4,936,878	5,039,057	661,158
	3,173,008,169	2,921,342,597	121,619,224	130,046,348
Advances for e-money	337,535,930	337,535,930	—	—
Deposits				
Refundable*	1,037,524,174	1,037,524,174	—	—
Utilities	133,803,720	133,803,720	—	—
Others	30,216,423	30,216,423	—	—
	1,201,544,317	1,201,544,317	—	—
Other noncurrent assets				
Noncurrent portion of:				
Lease receivable	265,843,766	265,843,766	—	—
Receivable from franchisees	15,146,859	15,146,859	—	—
	280,990,624	280,990,624	—	—
	₱10,089,642,660	₱9,837,977,088	₱121,619,224	₱130,046,348

*Current portion amounting to ₱2,577,078 as at September 30, 2025 is presented as part of "Others" under "Prepayments and other current assets" account.

December 31, 2024 (Audited)				
	Total	Stage 1 12 months ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL
Cash and cash equivalents				
Cash in banks	₱8,246,682,082	₱8,246,682,082	₱–	₱–
Cash equivalents	1,656,817,473	1,656,817,473		
	9,903,499,555	9,903,499,555	–	–
Short-term investments	–	–	–	–
Receivables				
Franchisees and store operators	2,909,561,789	2,614,211,439	188,345,641	107,004,709
Suppliers	502,946,614	449,597,802	33,837,307	19,511,505
Leases	64,757,957	64,757,957	–	–
Employees	44,964,101	37,030,289	7,685,609	248,203
Due from PFI	174,808	174,808	–	–
Insurance receivable	2,851,514	–	2,744,753	106,762
Rent	9,645,107	215,186	6,978,411	2,451,510
Others	14,932,314	12,516,432	1,754,723	661,159
	3,549,834,203	3,178,503,913	241,346,443	129,983,848
Advances for e-money	750,124,591	750,124,591	–	–
Deposits				
Refundable*	960,267,731	960,267,731	–	–
Utilities	109,379,660	109,379,660	–	–
Others	28,566,548	28,566,548	–	–
	1,098,213,939	1,098,213,939	–	–
Other noncurrent assets				
Noncurrent portion of:				
Lease receivable	187,531,699	187,531,699	–	–
Receivable from franchisees	16,534,063	16,534,063	–	–
	204,065,762	204,065,762	–	–
	₱15,505,738,051	₱15,134,407,760	₱241,346,443	₱129,983,848

The Group uses the following criteria to rate credit quality:

Credit Quality. The financial assets of the Company are grouped according to stage whose description is explained as follows:

Stage 1 – those that are considered current and up to 30 days past due and based on change in rating delinquencies and payment history, do not demonstrate significant increase in credit risk.

Stage 2 – those that are based on change in rating, delinquencies and payment history, demonstrate significant increase in credit risk, and/or considered more than 30 days past due but does not demonstrate objective evidence of impairment as of reporting date.

Stage 3 – those that are considered in default or demonstrate objective evidence of impairment as of reporting date.

The following tables provide the analysis of financial assets that are past due but not impaired and past due and impaired.

September 30, 2025 (Unaudited)						
Aging analysis of financial assets past due but not impaired					Past due and	
	31 to 60 days	61 to 90 days	>90 days	Total	Impaired	Total
Receivables:						
Franchisees and store operators	₱–	₱2,867,525	₱65,087,120	₱67,954,645	₱107,067,208	₱175,021,852
Suppliers	20,355,001	1,488,354	5,362,730	27,206,085	19,511,505	46,717,590
Employees	3,745,943	720,655	9,796,299	14,262,896	248,203	14,511,099
Rent	5,695,044	1,715,676	3,680,806	6,721,648	2,451,510	9,173,158
Insurance	–	–	434,893	434,893	106,764	541,657
Others	882,570	69,125	4,087,362	5,039,057	661,158	5,700,215
	₱26,308,681	₱6,861,335	₱88,449,209	₱121,619,224	₱130,046,348	₱251,665,572

December 31, 2024(Audited)

	Aging analysis of financial assets past due but not impaired				Past due and	
	31 to 60 days	61 to 90 days	> 90 days	Total	Impaired	Total
Receivables:						
Franchisees and store operators	₱2,758,503	₱818,837	₱184,768,301	₱188,345,641	₱107,004,709	₱295,350,350
Suppliers	27,742,675	580,738	5,513,894	33,837,307	19,511,505	53,348,812
Employees	1,043,435	2,152,527	4,489,647	7,685,609	248,203	7,933,812
Rent	76,295	—	6,902,116	6,978,411	2,451,510	9,429,921
Insurance receivable	1,444,774	—	1,299,977	2,744,752	106,762	2,851,514
Others	40,000	24,208	1,690,515	1,754,723	661,159	2,415,882
	₱33,105,682	₱3,576,310	₱204,664,450	₱241,346,443	₱129,983,848	₱371,330,291

Receivables from suppliers are noninterest-bearing and are generally on 30day to 90day terms. There are no significant concentrations of credit risk within the Group.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group seeks to manage its liquidity profile to be able to finance its capital expenditures and service its maturing debts. To cover for its financing requirements, the Group intends to use internally generated funds and sales of certain assets.

As part of its liquidity risk management program, the Group regularly evaluates projected and actual cash flow information and continuously assesses conditions in the financial markets for opportunities to pursue fund raising initiatives. The Group uses historical figures and experiences and forecasts of collections and disbursements.

These initiatives may include drawing of loans from the approved credit line intended for working capital and capital expenditures purposes and equity market issues.

The tables below summarize the maturity profile of the financial assets of the Group:

	September 30, 2025 (Unaudited)				
	Three months or less	More than three months to one year	More than one year to five years	More than five years	Total
Cash and cash equivalents					
Cash on hand and in banks	₱5,765,292,553	₱—	₱—	₱—	₱7,916,548,616
Cash equivalents	125,000,000	—	—	—	2,048,806,544
	5,890,292,553	—	—	—	9,965,355,159
Short-term investments	—	—	—	—	—
Receivables					
Franchisees and store operators	1,944,878,840	67,954,645	—	—	2,012,833,484
Suppliers	874,185,726	27,206,085	—	—	901,391,811
Leases	58,148,775	—	—	—	58,148,775
Employees	34,618,401	14,262,896	—	—	48,881,297
Rent	2,943,763	6,721,648	—	—	9,665,411
Insurance receivable	1,406,740	434,893	—	—	1,841,633
Due from PFI	223,474	—	—	—	223,474
Others	—	9,975,935	—	—	9,975,935
	2,916,405,719	126,556,102	—	—	3,042,961,822
Advances for e-money	337,535,930	—	—	—	337,535,930
Deposits					
Refundable*	—	2,577,078	1,034,947,096	—	1,037,524,174
Utilities	—	—	133,803,720	—	133,803,720
Others	—	—	30,216,423	—	30,216,423
	—	2,577,078	1,198,967,240	—	1,201,544,317
Noncurrent portion of lease receivable	—	—	—	—	—
Noncurrent portion of receivable from franchisees	—	—	265,843,766	—	265,843,766
	—	—	15,146,859	—	15,146,859
	—	—	280,990,624	—	280,990,624
	₱9,144,234,202	₱129,133,180	₱1,479,957,864	₱—	₱10,753,325,246

December 31, 2024 (Audited)					
	Three months or less	More than three months to one year	More than one year to five years	More than five years	Total
Cash and cash equivalents					
Cash on hand and in banks	₱9,429,633,975	₱—	₱—	₱—	₱9,429,633,975
Cash equivalents	1,656,817,473	—	—	—	1,656,817,473
	11,086,451,448	—	—	—	11,086,451,448
Short-term investments	—	—	—	—	—
Receivables:					
Franchisees and store operators	2,614,211,439	188,345,641	—	—	2,802,557,080
Suppliers	449,597,802	33,837,307	—	—	483,435,109
Employees	37,030,289	7,685,609	—	—	44,715,898
Rent	215,186	6,978,411	—	—	7,193,597
Insurance receivable	2,744,752	—	—	—	2,744,752
Due from PFI	174,808	—	—	—	174,808
Leases	64,757,957	—	—	—	64,757,957
Others	—	14,271,155	—	—	14,271,155
	3,168,732,232	251,118,123	—	—	3,419,850,355
Advances for e-money	750,124,591	—	—	—	750,124,591
Deposits					
Refundable*	—	3,518,022	956,749,709	—	960,267,731
Utilities	—	—	109,379,660	—	109,379,660
Others	—	—	28,566,548	—	28,566,548
	—	3,518,022	1,094,695,917	—	1,098,213,939
					—
Noncurrent portion of lease receivable		—	187,531,699	—	187,531,699
Noncurrent portion of receivable from franchisees	—	—	16,534,063	—	16,534,063
	—	—	204,065,762	—	204,065,762
	₱15,005,308,272	₱254,636,145	₱1,298,761,679	₱—	₱16,558,706,096

The tables below summarize the maturity profile of the financial liabilities of the Group based on remaining undiscounted contractual obligations:

September 30, 2025 (Unaudited)				
	Three months or less	More than three months to one year	More than one year	Total
Bank loans	₱—	₱130,000,000	₱—	₱130,000,000
Accounts payable and accrued expenses				
Trade payable	₱7,228,782,345	—	—	₱7,228,782,345
Outsourced services	373,585,097	—	—	373,585,097
Utilities	261,183,819	—	—	261,183,819
Employee benefits	222,544,311	—	—	222,544,311
Repairs and Maintenance	122,118,452	—	—	122,118,452
Internet	94,450,405	—	—	94,450,405
Rent	93,030,430	—	—	93,030,430
Professional fees	53,132,771	—	—	53,132,771
Taxes and licenses	43,985,760	—	—	43,985,760
Security services	37,777,405	—	—	37,777,405
Advertising and promotion	28,000	—	—	28,000
Bank charges	722,360	—	—	722,360
Interest	1,311,542	—	—	1,311,542
Others	234,527,889	—	—	234,527,889
	₱8,767,180,585	—	—	₱8,767,180,585
Other current liabilities				
Non-trade accounts payable	—	3,400,040,153	—	3,400,040,153
Due to Franchisees	496,238,548	—	—	496,238,548
Retention payable	—	175,368,229	—	175,368,229
Royalty	65,662,496	—	—	65,662,496
Service fees payable	—	3,815,899	—	3,815,899
Others	—	157,978,759	—	157,978,759
	561,901,044	3,737,203,040	—	4,299,104,084
Long-term debt	—	—	—	—
Lease liabilities	692,171,714	2,076,515,143	13,436,523,418	16,205,210,276
Cumulative redeemable preferred shares	6,000,000	—	—	6,000,000
	₱10,027,253,343	₱5,943,718,183	₱13,436,523,418	₱29,407,494,944

	December 31, 2024 (Audited)			
	Three months or less	More than three months to one year	More than one year	Total
Bank loans	P–	P70,000,000	P–	P70,000,000
Accounts payable and accrued expenses				
Trade payable	9,524,547,209	–	–	9,524,547,209
Utilities	370,371,415	–	–	370,371,415
Employee benefits	401,129,963	–	–	401,129,963
Outsourced services	359,548,241	–	–	359,548,241
Rent	106,693,568	–	–	106,693,568
Security services	35,294,111	–	–	35,294,111
Advertising and promotion	22,398,392	–	–	22,398,392
Bank charges	626,850	–	–	626,850
Interest	445,860	–	–	445,860
Internet charges	81,701,669	–	–	81,701,669
Repair and maintenance	150,604,515	–	–	150,604,515
Taxes and licenses	42,771,593	–	–	42,771,593
Professional fees	38,081,845	–	–	38,081,845
Others	354,357,109	–	–	354,357,109
Trade payable	9,524,547,209	–	–	9,524,547,209
	11,488,572,340	–	–	11,488,572,340
Other current liabilities				
Non-trade accounts payable	–	6,265,112,411	–	6,265,112,411
Due to franchisees	560,544,353	–	–	560,544,353
Retention payable	–	168,233,488	–	168,233,488
Royalty	80,110,957	–	–	80,110,957
Service fees payable	–	–	–	–
Others	–	272,803,025	–	272,803,025
	640,655,310	6,706,148,923	–	7,346,804,234
Long-term debt	–	–	–	–
Cumulative redeemable preferred shares	–	–	6,000,000	6,000,000
Lease liabilities	573,818,615	1,721,011,796	9,991,912,169	12,286,742,580
	P12,703,046,265	P8,497,160,719	P9,997,912,169	P31,198,119,154

Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's fair value and cash flows interest rate risk mainly arise from bank loans with floating interest rates. The Group is expecting to substantially reduce the level of bank loans over time. Internally generated funds coming from its cash generating units and from its franchising business will be used to pay off outstanding debts and consequently reduce the interest rate exposure.

The maturity profile of financial instruments that are exposed to interest rate risk are as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Due in less than one year	P130,000,000	P70,000,000
Due in more than one year	6,000,000	6,000,000
Rate (Note 11)	5.95%	4.40%-6.90%

Interest of financial instruments classified as floating rate is repriced at intervals of 30 days.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Group's income before income tax (through the impact on floating rate borrowings):

	September 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Increase/ Decrease in Basis Points	Effect on Income Before Income Tax	Increase/ Decrease in Basis Points	Effect on Income Before Income Tax
Bank loans and long-term debt- floating interest rate	+100	(P1,300,000)	+100	(700,000)
	-100	1,300,000	-100	700,000

There is no other impact on the Group's equity other than those already affecting profit or loss.

Foreign Exchange Risk

Foreign exchange risk is the risk to earnings or capital arising from changes in foreign exchange rates. The Group's foreign exchange exposure arises from holding foreign currency denominated rates, cash and cash equivalents, loans and receivables and merchandise sale to foreign entity. In order to balance this exposure, the Group has some sales denominated in foreign currency and maintains a foreign currency accounts in a reputable commercial bank. The Group does not enter into derivatives to hedge the exposure.

29. Capital Management

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value. In the light of changes in economic conditions, the Group manages dividend payments to shareholders, pay-off existing debts, return capital to shareholders or issue new shares. The Group mainly uses financing from local banks.

The Group considers equity contributed by shareholders as capital. The Group manages its capital structure by keeping a net worth of between 20% to 30% in relation to its total assets. The Group's networth ratio is 25% and 22% as at September 30, 2025 and 2024, respectively. No changes were made in the objectives, policies and processes during the year.

	September 30 (Unaudited)	
	2025	2024
Common stock	1,513,522,816	₱1,513,522,816
Additional paid-in capital	293,525,037	293,525,037
Retained earnings	8,168,454,457	6,070,862,014
	9,975,502,310	7,877,909,867
Less cost of shares held in treasury	2,923,246	2,923,246
	9,972,579,064	7,874,986,621
Total assets	₱39,823,583,561	₱36,490,176,091
Net worth	25%	22%

30. Significant Agreements

a. Franchise Agreements

The Group has various store franchise agreements with third parties for the operation of certain stores. The agreement includes a one-time franchise fee payment and an annual 7-Eleven charge for the franchisee, which is equal to a certain percentage of the franchised store's gross profit. Details follow:

	September 30, 2025	December 31, 2024
	Unaudited	Audited
Share in gross profit of franchisees	₱3,925,101,204	₱5,105,101,892
Rent, utilities and other expenses	1,289,430,024	1,136,664,972
Franchise fee	70,488,737	180,886,890
	₱5,285,019,965	₱6,422,653,754

b. Service Agreements

The Group has service agreements with third parties for the management and operation of certain stores. In consideration thereof, the store operator is entitled to a service fee based on a certain percentage of the store's gross profit and operating expenses as stipulated in the service agreement. Service fees included under outside services shown as part of "Outside services" in "General and administrative expenses" account.

c. Service Income

The Group has entered into agreements with a phone card supplier and various third parties. Under the arrangements, the Group earns commission on the sale of phone cards and collection of bills payments based on a certain percentage of collections for the month and a fixed monthly rate.

31. Segment Reporting

The Group considers the store operations as its only business segment based on its primary business activity. Franchising, renting of properties and commissioning on bills payment services are considered an integral part of the store operations. The Group's identified operating segments below are consistent with the segments reported to the BOD, which is the Chief Operating Decision Maker of the Group.

The products and services from which the store operations derive its revenues from are as follows:

- Merchandise sales
- Franchise revenue
- Marketing income
- Rental income
- Service income
- Interest income

The aforementioned revenues are all revenues from external customers.

The segment's relevant financial information is as follows:

	Nine Months Ended September 30, (Unaudited)	
	2025	2024
Revenue		
Revenue from merchandise sales	₱62,635,509,958	₱58,912,272,344
Franchise revenue	5,285,019,965	4,724,835,449
Service income	1,216,356,009	1,276,995,950
Rental income	48,252,819	114,394,152
Interest income	105,035,127	372,790,711
Other income	631,819,394	601,658,874
	69,921,993,272	66,002,947,480
Expenses		
Cost of merchandise sales	45,152,342,125	43,226,452,950
General and administrative expenses:		
Depreciation and amortization	3,706,672,790	3,298,270,365
Others	16,482,244,632	14,730,195,772
Interest expense	784,268,602	737,110,593
Other expenses	632,629,162	573,563,560
	66,758,157,311	62,565,593,240
Income Before Income Tax	3,163,835,961	3,437,354,240
Provision for Income Tax	786,624,457	859,413,281
Segment Profit	2,377,211,504	2,577,940,959
Segment Assets	₱39,823,583,561	₱36,490,176,091
Segment Liabilities	₱29,882,990,967	₱28,598,219,383

32. Provisions and Contingencies

The Group is a party to various litigations and claims. All cases are in the normal course of business and are not deemed to be considered as material legal proceedings. Further, the cases are either pending in courts or under protest, the outcome of which are not presently determinable. Management and its legal counsel believe that the liability, if any, that may result from the outcome of these litigations and claims will not materially affect their financial position or financial performance.